■ প্রশ্ন কমনের প্রমাণ পত্র ■

প্রমাণপত্র : ২০২৪ সালের পুরাতন সাজেশন্স থেকে কমনকৃত প্রশ্নের হার ৯৭%।

National University

[BBA Hon's 3rd Year; Exam-2024 (Held on- 21/01/2026)]

(Department of Finance and banking)

Subject Code : 232415

Subject Name : Financial Management (In English)

Time : 4 hours; **Full marks :** 80

[**N.B.** Different parts of each question must be written consecutively.]

Part-A

1. Answer any **ten** questions : $1 \times 10 = 10$
   (a) What is corporate governance? *[অধ্যায়-০১ এর ২০ নং প্রশ্ন কমন পড়েছে]*
   (b) What is CSR? *[অধ্যায়-০১ এর ২৬ নং প্রশ্ন কমন পড়েছে]*
   (c) What is decision tree? *[অধ্যায়-০২ এর ১২ নং প্রশ্ন কমন পড়েছে]*
   (d) What is business risk? *[অধ্যায়-০৩ এর ১৯ নং প্রশ্ন কমন পড়েছে]*
   (e) What is simulation? *[অধ্যায়-০২ এর ২৬ নং প্রশ্ন কমন পড়েছে]*
   (f) What is arbitrage? *[অধ্যায়-০৩ এর ০৬ নং প্রশ্ন কমন পড়েছে]*
   (g) What is dividend policy? *[অধ্যায়-০৪ এর ০১ নং প্রশ্ন কমন পড়েছে]*
   (h) What is stock split? *[অধ্যায়-০৪ এর ১০ নং প্রশ্ন কমন পড়েছে]*
   (i) Define standby underwriting? *[অধ্যায়-০৫ এর ০৫ নং প্রশ্ন কমন পড়েছে]*
   (j) What is prospectus of a company? *[অধ্যায়-০৫ এর ২১ নং প্রশ্ন কমন পড়েছে]*
   (k) What is operating lease? *[অধ্যায়-০৬ এর ০২ নং প্রশ্ন কমন পড়েছে]*
   (l) What do you mean by cash conversion cycle? *[অধ্যায়-০৭ এর ১২ নং প্রশ্ন কমন পড়েছে]*

Part-B

[Answer any **five** questions.] Marks : $4 \times 5 = 20$

2. Discuss the superiority of wealth maximization. *[অধ্যায়-০১ এর ০৯ নং প্রশ্ন কমন পড়েছে]*
3. *[অধ্যায়-০২ এর Problem- 06 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
4. *[অধ্যায়-০৩ এর Problem- 05 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
5. *[অধ্যায়-০৫ এর Problem- 05 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
6. What are the differences between primary market and secondary market? *[অধ্যায়-০৫ এর ০৬ নং প্রশ্ন কমন পড়েছে]*
7. *[অধ্যায়-০৪ এর Problem- 03 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
8. *[অধ্যায়-০৬ এর Problem- 02 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
9. Discuss the importance of working capital in a firm. *[অধ্যায়-০৭ এর ১২ নং প্রশ্ন কমন পড়েছে]*

Part-C

[Answer any **five** questions.] Marks : $10 \times 5 = 50$

10. (a) Discuss the three major decisions of a corporation in financial management. *[অধ্যায়-০১ এর ১১ নং প্রশ্ন কমন পড়েছে]*
    (b) Describe the ways to solve the agency conflicts. *[অধ্যায়-০১ এর ০৭ নং প্রশ্ন কমন পড়েছে]*
11. *[অধ্যায়-০২ এর Problem- 16 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
12. (a) Write down the process of initial public offering. *[অধ্যায়-০৫ এর ০২ নং প্রশ্ন কমন পড়েছে]*
    (b) Discuss the functions of BSEC. *[অধ্যায়-০৫ এর ০৬ নং প্রশ্ন কমন পড়েছে]*
13. *[অধ্যায়-০৩ এর Problem- 10 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
14. *[অধ্যায়-০৪ এর Problem- 37 নং (হুবহু ইজিপ্সাস) প্রশ্ন কমন পড়েছে]*
15. *[অধ্যায়-০৬ এর Problem- 05 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
16. *[অধ্যায়-০৭ এর Problem- 05 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
17. (a) What do you mean by bond refunding? *[অধ্যায়-০৫ এর ০৩(ক) নং প্রশ্ন কমন পড়েছে]*
    (b) *[অধ্যায়-০৫ এর Problem- 03 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*

National University

[BBA (Hon's) 3rd Year; Exam-2025 (Will be held-2026/27)]

Subject Code : 232415

Subject Name : Financial Management

[Baticrom Latest Final Suggestions]

ফিন্যান্স এন্ড ব্যাংকিং বিভাগের ছাত্রছাত্রীদের জন্য

Chapter 01 Goals and Functions of Finance

(অর্থায়নের লক্ষ্য ও কার্যাবলি)

Part-A (Brief Questions) :

ooo 01. **What is finance? (অর্থায়ন কী?)** *[N.U. 4th Mgt-2018]*

Ans : Finance may be defined as the art and science of managing money.

oooo 02 **What is meant by financial management?** 99%

Or, What is financial management?

(আর্থিক ব্যবস্থাপনা কী?) *[N.U. 2012, 2014, Acc 3rd-2016, 2020; (Finance 3rd)-2016, 2018, 2020, 2023; 2019 (Mgt 4rth); D.U. Acc-2017]*

Or, Define financial management.

(আর্থিক ব্যবস্থাপনার সংজ্ঞা দাও।)

Ans : Financial management means planning, organizing, directing and controlling the financial activities such as procurement and utilizaton of funds of the enterprise.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

o 03. **Who is a financial manager?**

(আর্থিক ব্যবস্থাপক কে?) *[N.U. (Finance 3rd)-2017]*

Ans: The person who plays the role to active financial management is called financial manager.

o 04. **What is financing decision? (অর্থসংস্থান সিদ্ধান্ত কী?)**

Ans : Financing decision determines when, where and how to acquire funds to meet the firm's investment needs.

ooo 05. **What do you mean by investment decision?**

Or, What is investment decision? (বিনিয়োগ সিদ্ধান্ত কী?) 99% *[N.U. 2014; (Finance 3rd)-2017]*

Ans : Investment decision involves the decision of allocation of capital to long-term assets that would provide benefits in the future.

ooo 06. **What is dividend decision? (লভ্যাংশ সিদ্ধান্ত কী?)**

Ans : Financial manager must decide whether the firm should distribute all its profits, retain them or distribute a portion and retain the balance.

oo 07. **What is liquidity decision?**

(তারল্য বা চলতি মূলধনের সিদ্ধান্ত কী?)

Ans : Liquidity decision involves managing current assets efficiently to safeguard the firm against the risks of illiquidity and insolvency.

ooo 08. **What is profit maximization?**

(মুনাফা সর্বাধিকরণ কী?)

Ans : Profit maximization means the maximization of the level of profit through operating activities of a firm.

oooo 09 **What is meant by wealth maximization?**

(সম্পদ সর্বাধিকরণ বলতে কী বুঝ?) 99%

[N.U. Old-2012, 2015; (Finance 3rd)-2018, 2021; 4th Mgt-2017, 2020; 2021 (Acc.3rd)]

Or, What is wealth maximization?

(সম্পদ সর্বাধিকরণ কী?)

Or, Define wealth maximization .

Or, What do you mean by wealth maximization?

Ans : Wealth maximization means maximizing the net present value or wealth of a course of action for the shareholders.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

oo 10. **What is economic value added (EVA)?**

(অর্থনৈতিক মূল্য (EVA) কী?)

Ans : EVA is a popular measure used by many firms to determine whether a proposed or existing investment contributes positively to the owner's wealth.

ooo 11. **What is public finance? (সরকারি অর্থব্যবস্থা কী?)**

Ans : Financing by federal, state, local governments and municipal corporations is known as public finance.

ooo 12. **What is international finance? (আন্তর্জাতিক অর্থায়ন কী?)**

Ans : International finance includes foreign direct investment, investment cash flows and decisions, capital structure, long-term debt and equity capital.

oo 13. **Who is treasurer? (কোষাধ্যক্ষ কে?)**

Ans : The treasurer is financial manager of a firm. The treasurer's functions are secondary and external works and relate to the liability side of the balance sheet.

ooo 14. **Who is controller? (নিয়ন্ত্রক কে?)**

Ans : The controller is manager of a firm. The controller's functions are related with primary and internal works of the firms and concentrate the asset side of the balance sheet.

ooo 15. **What is business ethics?** 99% *[N.U. Acc 3rd-2019]*

Or, What do you mean by business ethics? (ব্যবসায়ের নৈতিকতা বলতে কী বুঝায়?)

Ans : The standards of conduct by which one's actions are judged as right or wrong, honest or dishonest, fair or unfair are ethics.

oo 16. **What is social responsibility?** 99%

[N.U. 2013, 2016, 2022]

(সামাজিক দায়িত্ব বলতে কী বুঝ?)

Ans : Social responsibility refers to the betterment of different interested group within a society.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

oo 17. **What is agency conflict?** 99%

Or, What is agency problem? (এজেন্সি প্রতিনিধিত্বের সমস্যা কী?)

[N.U. 3rd (Acc)-2015, 2020; (Finance 3rd)-2016, 2019; 4th Mgt- 2017, 2020]

Or, What is termed as agency problem? (এজেন্সি সমস্যার ধরন কী?)

Ans : The probability conflict of interest between the shareholders and management of a firm is known as agency problem.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 18. **What is a financial institution? (অর্থনৈতিক প্রতিষ্ঠান কী?)**

Ans : Financial institution serves as intermediaries by channeling the savings of individuals, businesses and governments into loans or investments.

ooo 19. **What is securities exchange? (সিকিউরিটি এক্সচেঞ্জ কী?)**

Ans : The securities exchange is the formal organizations that has physical location and exist to bring together buyers and sellers of securities in the secondary market.

20. ***What is corporate governance? (কর্পোরেট সরকার কী?) [২০২৪ সালে যা এসেছিল]***

[N.U. 2014; 4th Mgt-2018; 2024 (Finance)]

Or, Define corporate governance. (কর্পোরেট সরকারের সংজ্ঞা দাও।)

Ans : *Corporate governance is the system, in which a corporation is governed and deals with the various interests of its consumers, shareholders, employees and society at large.*

oo 21. **Which subject is closely related with finance? (অর্থনীতির সাথে কোন বিষয়টি অধিক সম্পর্কযুক্ত?)**

Ans : The field of finance is closely related to economics. And finance is the applied subject of economics.

ooo 22. **What is business finance? (ব্যবসায় অর্থায়ন কী?)**

Ans : Business finance may be defined as the process of raising, providing and managing of all the money to be used in connection with business activities.

ooo 23. **What is corporate finance? (কর্পোরেট অর্থায়ন কী?)** *[N.U. Acc 3rd-2017]*

Ans : The financial activity of corporation is called corporate finance.

ooo 24. **What is agency cost? (প্রতিনিধিত্বের ব্যয় কী?)** 99%

[D.U. Acc-2017; N.U. 2012; Acc 3rd- 2017, 2021]

Ans : The costs borne by the stockholders to maintain the governance structure that minimizes agency problems and contributes to the maximization of owner's wealth.

ooo 25. **What is hurdle rate? (হার্ডলি হার কী?)** *[N.U. 2015]*

Ans : Hurdle rate is the minimum rate that a company expects to earn when investing in a project.

26. ***What is corporate social responsibility? (কর্পোরেট সামাজিক দায়বদ্ধতা কী?) [২০২৪ সালে যা এসেছিল]***

Or, What is CSR? [N.U. 2012, 2013; 2016 (Acc 3rd); 4th Mgt-2019; 2024 (Finance 3rd)]

Ans : *Corporate social responsibility is a business outlook that acknowledges a firms responsibilities to its stakeholders and natural environment.*

ooo 27. **Elaborate CSR. (CSR-এর বর্ধিত রূপ লিখ।)**

Ans : CSR-এর বর্ধিত রূপ হলো- Corporate Social Responsibility. *[D.U. Acc-2017]*

oo 28. **"Profit maximization is the ultimate goal of a firm."- Is it true?** *[D. U. (Finance 3rd) 2017]*

Ans : False. "Wealth maximization is goal of a firm".

Part- B & C (Short & Broad Questions) :

✪✪ 01. What is financial management? [Ans : ফাইন্যান্স ম্যানেজমেন্ট (৪র্থ খণ্ড) বইয়ের 238 Page 1.05 No.]
Or, What do you mean by financial management?

✪✪✪ 02. Discuss the role of a financial manager. [Ans : 239 Page 1.08 No.] *[N.U.BBA (Hon's)- 2012, (Acc)-2018]*
Or, Discuss the role of a financial manager. *[টেস্ট পরীক্ষা- বিএম, এমএম কলেজ]*

✪✪ 03. Discuss the principles of business finance. [Ans : 237 Page 1.04 No.]
[টেস্ট পরীক্ষা- সা'দত, বিএল, এম এম, কু:ভিক্টোরিয়া কলেজ; N.U. 2013]

✪✪✪ 04. Discuss social responsibility of financial management. [Ans : 242 Page 1.17 No.]
[টেস্ট পরীক্ষা- তিতুমীর, সিদ্ধেশরী গার্লস, মনসুর আলি, সাতক্ষিরা সরঃ কলেজ; N.U. 2014]

✪✪✪ 05. Discuss the goals and objectives of a financial manager. [Ans : 241 Page 1.15 No.]
[টেস্ট পরীক্ষা- তিতুমীর ও দনিয়া বিশ্ব কলেজ; N.U. -2013, 2015; 4th Mgt-2018]

✪✪ 06. Explain the concept of corporate Governance. What are the principles of Corporate Governance? [Ans : 248 Page 1.31 + 1.32 No.] *[টেস্ট পরীক্ষা- হাবীবুল্লাহ ও রাজেন্দ্র কলেজ; N.U. 2012; Acc-2017]*

✪✪✪ 07. Discuss the managerial functions of finance. [Ans : 238 Page 1.07 No.] *[N.U.BBA (Hon's)(Finance) -2018]*

✪✪✪ 08. **Briefly discuss the principles of financial management.** 99% [Ans : 238 Page 1.06 No.]
[N.U. (Finance) 2017, 2019]

✪✪✪ 09. **Why is wealth maximization the ultimate objective of a business firm? Explain.** 99%
[Ans : Page No 246; Ques. No 1.25] *[N.U. (Finance) 2017, 2019, 2020]*
Or, Do you think wealth maximization is better than profit maximization concept? Why?
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

✪✪ 10. What do you mean by agency problem? Briefly explain with example. [Ans : 244 Page 1.22 No.]
Or, What is agency conflict? *[N. U. 2013, 2021 (Finance)]*

✪✪✪ 11. **(a) State the importance of financial management.** 99% [Ans : 241 Page 1.14 No.]
[N.U. 2015, 2018 (Acc); 2016, 2018, 2021 (Finance.) 2018; 4th Mgt-2017]
Or Write down the significance of financial management.
Or, Discuss necessity/advantages of financial management?
(b) State the factors that influence financial decisions, 99% [Ans : 251 Page 1.41 No.]
[DU. 2017 (Acc.); N.U. 2014, 2017 (Acc.); 2016, 2021 (Finance)]
Or, Discuss the factors influencing financial decisions.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

✪✪✪ 12. Short Notes : Corporate social responsibilities. [Ans : 242 Page 1.16 No.] *[N. U. 2021 (Finance)]*

✪✪✪ 13. **What are the functions of financial manager?** 99% [Ans : Page No 250; Ques. No 1.38]
Or, Describe the functions of financial manager. *[N.U. (Finance) 2020, 2022]*

✪✪✪ 14. **What is a firm's fundamental, or intrinsic value? Explain.** 99% [Ans : 252 Page 1.42 No.]
[N.U. (Finance) 2023]

✪✪ 15. Discuss the drawbacks of profit maximization. [Ans : 240 Page 1.11 No.] *[N.U. (Finance) 2023]*

✪✪✪ 16. **Discuss the types of agency problems.** 99% [Ans : 245 Page 1.24 No.] *[N.U. (Finance) 2023]*
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

2. *Discuss the superiority of wealth maximization.* [Ans : Page No. 240 Ques. No. 1.10] *[N.U. (Finance) 2024]*
Or, Discuss five arguments in favour of wealth maximization.

10. (a) *Discuss the three major decisions of a corporation in financial management.* [Ans : Page No 243; Ques. No 1.19]
[টেস্ট পরীক্ষা- সা'দত, এমএম, কুমিল্লা ভিক্টোরিয়া কলেজ; N.U. 2013, 2015, (Acc)-2018, 4th Mgt-2017; (Finance) 2016, 2020, 2024]
Or, Narrate the three important decisions of financial management.
Or, Discuss the three major decisions that financial manager must take.
(b) *Describe the ways to solve the agency conflicts.* [Ans : Page No 244; Ques. No 1.23]
[টেস্ট পরীক্ষা- ইডেন, হাবিবুল্লাহ, যশোর সিটি ও এডওয়ার্ড কলেজ; N.U. 2012, 2013 (Hon's)4th Mgt- 2018; 2024 (Finance)]
Or, Discuss the different market forces to minimize agency problem.
Or, Discuss in brief the various techniques of overcoming agency problem?

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 09, 11, 14 & 16 No. Questions are the most important for the Examinee of 2025.*** ***..... Editor***

Chapter 02 Capital Budgeting and Risk Analysis
(মূলধন বাজেটিং এবং ঝুঁকি বিশ্লেষণ)

Part-A (Brief Questions) :

০০০ 01. What do you mean by capital budgeting? Or, What is capital budgeting? (মূলধন বাজেটিং কী?) 99% *[N.U. Acc-2016; (Finance 3rd)-2018; 2019 (Mgt); D.U. Acc-2017]*

Ans : Capital budgeting is the technique which is followed to evaluated the investment decision.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 02. What is uncertainty? (অনিশ্চয়তা কী?)

Ans : Uncertainty refers to the outcomes of given event which are too unsure to be assigned probabilities.

০০০ 03. What is independent project? (স্বাধীন প্রকল্প কী?)

Ans : A project whose acceptance (or rejection) does not prevent the acceptance of the other projects under consideration.

০০০ 04. What is mutually exclusive project? (পারস্পরিক বর্জনশীল প্রকল্প কী?) 99% *[N.U. Acc 3rd-2018, 2020; D.U. Acc-2017]*

Ans : A project whose acceptance precludes the acceptance of one or more alternative projects is called a mutually exclusive project.

০০০ 05. What is certainty equivalent approach? (নিশ্চয়তা সমতুল্য পদ্ধতি কী?)

Ans : A formalized method for a adjusting the cash flows is called the certainty equivalent approach.

০০০ 06. What is sensitivity analysis? (সংবেদনশীলতা বিশ্লেষণ কী?) 99% *[N.U. 2013, 2023]*

Ans : Sensitivity analysis indicates exactly how much NPV will change in response to given change in an input variable, other things held constant.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০ 07. What is correlation? (সহ-সম্বন্ধ কী?)

Ans : A statistical measure of the relationship between any two series of numbers representing data of any kind. *[N.U. Acc 3rd-2017]*

০ 08. What is correlation coefficient? (সহ-সম্বন্ধ সহগ কী?)

Ans : A correlation coefficient is a standardized statistical measure of the linear relationship between two variables.

০০০ 09. What is expected value? (প্রত্যাশিত মূল্য কী?)

Ans : The weighted average of possible outcomes, where the weights are the probabilities of each outcome occurring.

০০০ 10. What is probability? (সম্ভাব্যতা কী?)

Ans : Probability is an expression that indicates a degree of uncertainty about the happening of the event.

০০০ 11. What is probability distribution? (সম্ভাবনা বিন্যাস কী?)

Ans : When probability theory is used in analyzing risk in capital budgeting is called probability distribution.

০০ 12. What is standard deviation? (পরিমিত ব্যবধান আদর্শ বিচ্যুতি কী?)

Ans : This method is used to measure the average deviation of estimated values from the expected value.

০০০ 13. What is range? (পরিসর কী?)

Ans : The difference between the highest expected value and the lowest expected values is known as range.

০০০ 14. What is an opportunity cost? (সুযোগ ব্যয় কী?)

Ans : What is lost by not taking the next best investment alternative is called opportunity cost.

০০ 15. What is sunk cost? (নিমজ্জিত ব্যয় কী?)

Ans : A sunk cost is one that has already occurred and is not affected by the capital project decision.

০০০ 16. What are the decisions of capital budgeting? (মূলধন বাজেটিং-এর সিদ্ধান্তসমূহ কি কি?)

Ans : (a) Accept-Reject Decision;
(b) Mutually Exclusive Decision and
(c) Capital Rationing Decision.

০০০ 17. What is discount cash flow method? (নগদ প্রবাহ বাট্টা পদ্ধতি কাকে বলে?)

Ans : The measure of investment worth that considers the timing of cash flows and utilize the concept of the present value of a future sum is known as discount cash flow method.

০০০ 18. What is payback period? (পরিশোধ সময় কী?) *[N.U. Acc 3r*

Ans : The payback period is the ti
for the firm to recover its initia
a project, as calculated from

০০০ 19. What is discounted payback period? (বাট্টা পরিশোধ সময় কী?)

Ans : The number of periods it takes to recover the investment outlay on a present value basis is called the discounted payback period.

০০০ 20. What is Average rate of return? (গড় উপার্জন হার কী?)

Ans : The Average Rate of Return is capital budgeting method that compares average after tax net cash inflow to average investment.

০০০ 21. What is net present value? (নিট বর্তমান মূল্য কী?) *[N.U. Acc 3rd- 2016]*

Ans : Net Present Value is the present value of an investment project's net cash flows minus project's initial cash outflows.

০০০ 22. Define Internal Rate of Return.

[N.U. 2012; Acc 3rd- 2016, 2019, 2021]

Or, What is Internal Rate of Return (IRR)? (অভ্যন্তরীণ উপার্জন হার কী?)

Ans : The Internal Rate of Return is the discount rate that equates the sum of the present values of series cash inflows with the initial investment.

০০০ 23. What is profitability index? (মুনাফালভ্যতা সূচক কী?)

Ans : Profitability index may be defined as the ratio which is obtained by dividing the sum of present value of future cash inflows by the present value of the cash outlay.

০০০ (24) What do you mean by capital rationing? 99%

[N.U. 4th Mgt-2018, 2020; (Finance 3rd)-2022]

(মূলধন বরাদ্দকরণ বলকে কী বুঝ?)

Or, What is capital rationing? (মূলধন বরাদ্দকরণ কী?)

Ans : Capital rationing refers to the choice of investment proposals under financial constraints in terms of a given size of capital.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 25. What is scenario analysis? (দৃশ্যপট বিশ্লেষণ কী?) 99% *[N.U. 2015; (Finance 3rd)-2017]*

Ans : Scenario analysis is a process of analyzing possible future events by considering alternative possible outcomes (scenarios).

26. What is simulation? [২০২৪ সালে যা এসেছিল]

[N.U. (Mgt 4th)-2020; 2024 (Finance 3rd)]

***Or, Define simulation** (সিমুলেশনের সংজ্ঞা দাও।)*

***Ans :** Simulation is a statistics based behavioral approach that applies predetermined probability distributions and random numbers to estimate risky outcomes.*

০০০ 27. What is tax shield?

[N.U. 4th Mgt-2017, 2019; D.U. Acc-2017]

Ans : A tax deductible expense. The expense protects (Shields) an equivalents taka amount of revenue from beings taxed by reducing taxable income.

০০০ 28. Define risk. 99%

Or, What is risk? (ঝুঁকি কী?)

[N.U. Old-2012, 2014, Acc-2017; (Finance 3rd)-2017; 4th Mgt-2017]

Or, What do you mean by risk?

Ans : Risk may be defined as the variability of possible outcomes from a project.

০০০ 29. Write down the elaboration of RADR.

Or, Elaborate RADR. *[N.U. Acc 3rd-2016, 2020;Finance)- 2016; 4th Mgt-2017, 2019]*

Ans : The elaboration of RADR is Risk Adjusted Discount Rate.

০০০ 30. What is risk premium? (ঝুঁকি প্রিমিয়াম কী?) 99%

Ans : The excess return required from an investment in a risky assets over that required from a risk free investment is known as the risk premium. *[N.U. Acc 3rd- 2018]*

31. What is decision tree? [২০২৪ সালে যা এসেছিল]

[N.U. 2024 (Finance 3rd)]

***Ans :** A decision tree is a graphic presentation of the relationship of the present decision with future events and decisions.*

০০ 32. What is return? (আয় কী?)

Ans : The total gain or loss experienced on an investment over a given period of time is called return.

০০০ (33) What is portfolio risk? 99%

[N.U. 2014; (Finance 3rd)- 2018, 2021]

Ans : Portfolio revenues are known to be a portfolio risk.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ (34) What do you mean by RADR? 99%

[N.U. 2014; 2016, 2020 (Finance 3rd)]

Or, What is risk adjusted discount rate (RADR)? (ঝুঁকি সমন্বিত বাট্টা হার কী?)

Or, What is RADR?

Ans : Risk adjusted discount rate is the discount rate that reflects the risk of a particular capital budgeting project.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০ 35. What is co-efficient of variation? (ব্যবধানাঙ্ক কী?)

Ans : The ratio of the standard deviation of a distribution to the mean of that distribution. It is a measure of relative risk.

ooo 36. **What is growth firm?**
[N.U. (Mgt 4rth)- 2017; (Finance 3rd)- 2016]
Or, What do you mean by growing company?
Ans : The firm which rate of return is higher than its cost of capital is called growing company.

ooo 37. **What is beta?** 99% *[N.U. (Finance 3rd)- 2016]*
Ans : Beta is an index of the degree of movement of an asset's return in response to a change in the market return.

ooo 38. **What is risk free rate of return?**
[N.U. (Finance 3rd)- 2019]
Ans : Risk free rate of return is a return obtainable from default risk free government security.

ooo 39 **What do you mean by systematic risk?** 99%
[N.U. (Finance 3rd)- 2020]
Ans : Systematic risk refers to the risk inherent to the entire market or market segment.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

oo 40. **What are the two components of return?**
[N.U. (Finance 3rd)- 2020]
Ans : Two components of return are income, which includes interest payments on fixed income investment, and dividends from stocks that an investor receives.

Part- B & C (Short & Broad Questions) :

ooo 01. Defined capital budgeting. **[Ans : আর্থিক ব্যবস্থাপনা ফিন্যান্সিয়াল ম্যানেজমেন্ট ইন প্র্যাকটিস (৪র্থ খণ্ড) বইয়ের 255 Page 2.01 No.]**
Or, What do you mean by capital budget?

oo 02. Discuss the features of capital budgeting. **[Ans : 255 Page 2.02 No.]**

oo 03. Describe the importance of capital budgeting. **[Ans : 256 Page 2.04 No.]** *[N.U. Acc- 2017]*
Or, Duscuss the objective of capital budget?

ooo 04. **Discuss in brief the techniques of capital budgeting.** 99% **[Ans : 257 Page 2.06 No.]**
[টেস্ট পরীক্ষা- কবি নজরুল, সা'দত, সিদ্ধেশ্বরী, গার্লস, বিএম,হাবিবুল্লাহ, এডওয়ার্ড ও যশোর সিটি কলেজ; N.U. -2012, 2013, 2015]
Or, What are the techniques of adjusting risk in capital budgeting? Explain.

oo 05. (a) What is meant by risk? **[Ans : 264 Page 2.32 No.]** *[N.U: BBA-2006, 2008, 2011]*
Or, What is risk?
(b) Explain the CE approach of adjusting risk in capital budgeting. [Ans : 262 Page 2.30 No.]
[টেস্ট পরীক্ষা- এমএম,যশোর সিটি কলেজ; N.U. -2012, 2014]

oo 06. Show the difference between risk and uncertainty. **[Ans : 262 Page 2.27 No.]**
Or, Distinguish between risk and uncertainty? *[N.U: BBA-2009, 2011; D.U. (Acc) 2016, 2018; 4th Mgt-2018]*

ooo 07 **Short notes :**
(a) Risk sensitivity analysis. 99% **[Ans : 264 Page 2.34 No.]** *[N. U. 2021 (Finance)]*
(b) Trade off model 99% **[Ans : 265 Page 2.38 No.]** *[N. U. 2021 (Finance)]*
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo 08. **What are the difference between business risk and financial risk?** 99%
[Ans : Page No 262; Ques. No 2.28] *[N. U. (Finance) 2022]*

ooo 09 **What is the difference between systematic risk and unsystematic risk?** 99%
[Ans : Page No 262; Ques. No 2.29] *[N. U. (Finance) 2022]*
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo 10. **(a) What is liquidity risk?** 99% **[Ans : Page No 264; Ques. No 2.35]** *[N.U. (Finance) 2023]*
(b) Discuss the risk evaluation approaches of capital budgeting. 99% *[N.U. (Finance) 2023]*
[Ans : Page No 264; Ques. No 2.36]

ooo 11 **(a) "Risk-Return trade off is the basis of financial decisions"– Explain.** 99%
[Ans : Page No 268; Ques. No 2.49] *[N.U. (Finance) 2023]*
(b) Show the difference between Certainty Equivalent (CE) and Risk Adjusted Discount Rate (RADR). 99% **[Ans : Page No 263; Ques. No 2.31]**
[টেস্ট পরীক্ষা- তিতুমীর, সা'দত, কুমিল্লা ভিঃ মনসুর আলি, সাতক্ষীরা সিটি কলে; D.U. 2017 (Acc.); N.U: 2016, 2019, 2023 (Finance)]
Or, Differentiate between certainty equivalent approach and risk-adjusted discount approach.
Or, Distinguish between certainty equivalent approach risk adjusted discount rate approach.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo 12. Explain the decision tree approach. **[Ans : Page No 266; Ques. No 2.41]** *[N.U. (Finance) 2023]*

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 07, 09, 10 & 11 No. Questions are the most important for the Examinee of 2025.*** ***..... Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

1. Capital Budgeting

০০ **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2015 No– 03**

Canvass Ltd. is considering two mutually exclusive project. Project A and project B. A requires an initial outlay of Tk. 20,000 and the expected cash inflows of Tk. 5,000 each of the next 5 years. Project B requires an initial outlay of Tk. 25,000 and has an expected cash inflows of Tk. 6,500 for each of the next 5 years. Use pay back period method which project do you recommend for the company.

Solution : ফিন্যান্সিয়াল ম্যানেজমেন্ট ইন্টারেস্ট (৪র্থ খণ্ড) বইয়ের ২৭১ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Mgt. 2018 No– 04.**

Sony company estimates that it can save Tk. 28,000 a year in cash operating cost for next 10 years if it buys machine at cost of Tk. 1,10,000. No residual value is expected. Assume that income tax is rate on average 30% of taxable income.

Required : Compute the payback period.

Solution : ২৭৩ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–4**

An investment project costs Tk. 15,100 and has annual cash flows of Tk. 3,900 for 6 years. What is the discounted payback period if the discount rate is 10 percent?

Solution : ২৭৩ পৃষ্ঠার **Problem-08** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০০ **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–8**

Bata Shoe Ltd. is evaluating a project with a beta of 1.50. The project has expected CFAT of Tk. 5,000 per year for four years, with an initial investment of Tk. 12,000. The risk-free rate is 8% and the market risk premium is 8%. You are required to determine whether the project should be accepted or rejected.

Solution : ২৭৬ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2022 No–4**

A project costing Tk. 5,00,000 and it has cash flows of Tk. 3,00,000, Tk. 2,00,000, Tk. 1,00,000 and Tk. 80,000 in year 1 through 4. Assume that associated α (Alpha) factors are determined to be: $\alpha_0 = 1{\cdot}00$, $\alpha_1 = 0{\cdot}90$, $\alpha_2 = 0{\cdot}70$, $\alpha_3 = 0{\cdot}50$ and $\alpha_4 = 0{\cdot}30$. The risk free rate is 10%.

What will be the net present value of the project?

Solution : ২৭৭ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2019 No– 11**

ABC Ltd. has constructed a table, shown below, that gives expected cash inflows and certainty equivalent factors for these cash inflows. These measures are for a new machine with a five year life that requires an initial investment of Tk. 9,50,000. The firm has a 15% cost of capital and the risk free rate is 10% :

Year	CFAT Taka	Certainty equivalent factors
1	4,00,000	1.0
2	4,00,000	0.8
3	4,00,000	0.6
4	4,00,000	0.6
5	4,00,000	0.2

Required :

(a) What is the net present value (unadjusted for risk)?

(b) What is the certainty equivalent net present value?

Solution : ২৭৯ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

Problem-07 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–3**

A project is expected to the following cash inflows over 3 years :

Year	Expected cash flow (Tk.)	Certainty equivalent co-efficient
1	40,000	0.9
2	50,000	0.8
3	60,000	0.7

The risk-free discount rate is 10% and the initial investment is Tk. 1,00,000.

Required :

(a) Calculate the using CE approach present value of the project.

(b) Should the project be accepted?

Solution : ৬০০ পৃষ্ঠার **Question No-3** নং প্রশ্নের উত্তর দেখুন।

Problem-08 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–11**

The Babylon Corporation is evaluating two mutually exclusive projects, both of which require an initial outlay of Tk. 1,00,000. Each project has an expected life of five years. The probability distributions associated with the expected cash flows from each project are as follows :

Probability Distribution For Cash Flow

Years 1–5 (the same cash flow each year)

Project A		Project B	
Probability	Cash flow	Probability	Cash flow
0.10	Tk. 35,000	0.10	Tk. 10,000
0.40	40,000	0.20	30,000
0.40	45,000	0.40	45,000
0.10	50,000	0.20	60,000
		0.10	80,000

The normal required rate of return for Babylon Corporation is 10%, but because these projects are riskier than most, it is requiring a higher than normal rate of return on them. Project A requires a 12% rate of return and Project B requires a 13% rate of return.

Requirement :

(i) Determine the expected value for each project's cash flow.

(ii) Determine each project's risk-adjusted net present value.

(iii) Which project should be selected and why?

Solution : ২৮১ পৃষ্ঠার **Problem-20** নং প্রশ্নের উত্তর দেখুন।

Problem-09 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–11**

There are two firms. The risk free rate of return is 6% and market rate of return 10%. The expected cash flow and certain equivalent co-efficient for two firms are given below:

Year	Firm-A		Firm-B	
	Cash flow	Certain equivalent factor	Cash flow	Certain equivalent factor
0	Tk. 3,00,000	1.0	Tk. 3,00,000	1.0
1	80,000	0.95	1,40,000	0.70
2	90,000	0.85	1,30,000	0.75
3	1,10,000	0.80	1,20,000	0.80
4	1,30,000	0.75	1,10,000	0.85
5	1,40,000	0.70	1,00,000	0.90
	Risk index	1.0	Risk index	1.50

You are require to determine :

(a) Calculate NPV ignoring risk factor, Assuming cost of capital 10%.

(b) Calculate NPV to evaluate the project using certain equivalent factor.

(c) Calculate NPV to evaluate the project using risk adjusted discount rate to account for the risk

(d) Compare and contrast and explain your finding.

Solution : ২৮২ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2015 No–11**

Star Restaurant Ltd. is considering two mutually exclusive investment proposals. Their expected cash flow streams are given below :-

Project	NCO	CFBT per year	Life	Tax
A	15,000	5,000	5	40%
B	18,000	5,500	6	40%

After computing PBP the company compares RADR as follows :-

Less than one year	= 5%
1 to 3 years	= 8.5%
3 to 5 years	= 12.50%
Above 5 years	= 15%

Required : Find out the profitable project for the restaurant according to NPV.

Solution : ২৮৪ পৃষ্ঠার **Problem-23** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2020 No–11; 2023 No–12**

Tahmid Company Ltd. is considering an investment project with expected life of 5 years. The project requires an initial cash out flow of Tk. 1,00,000. The expected cash flows, certainty equivalent co-efficient and present value of Tk. 1@ 10% are as follows :

Year	CFAT	Certainty equivalent co-efficient	Present value @ 10%
1	20,000	0.95	0.909
2	60,000	0.80	0.826
3	40,000	0.70	0.751
4	30,000	0.60	0.683
5	15,000	0.50	0.621

The risk free rate of return is 10%. Compute the NPV and IRR. Should the project be accepted or not?

Solution : ২৮৫ পৃষ্ঠার **Problem-24** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Finance (1st Year) 2019**

Padma company is thinking of investing in a new project. A machine costing Tk. 50,000 has to be procure to implement this project. The estimated life of the machine would be 5 years having no salvage value. The tax rate of the company is 40% and does not get any investment allowance. The company's cash flow before tax (CFBT) would be as follows :

At the year end	CFBT (Tk.)
1st	10,000
2nd	11,000
3rd	14,000
4th	15,000
5th	25,000

You are required to calculate :

(i) Payback period
(ii) Average rate of return
(iii) Net present value at 10% discount rate
(iv) Profitality index.

Solution : ২৯০ পৃষ্ঠার **Problem-29** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2022 No–10**

Two projects have the following cash flow :

Period	A-CFAT	B-CFAT
0	1,00,000	1,00,000
1	50,000	50,000
2	50,000	-
3	50,000	-
4	50,000	1,80,000

Salvage value end of 4 year for both project is Tk. 5,000.

Calculate :

(i) Pay back period for both projects.

(ii) Determine the IRR of each projects.

(iii) Which project should be selected?

Solution : ২৯৫ পৃষ্ঠার **Problem-34** নং প্রশ্নের উত্তর দেখুন।

oo (১১%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Finance (1st Year) 2020 No-14(b)**

AK Ltd. is considering two mutually exclusive projects. The firm, which has cost of capital is 11%. The following is the cash flows :

	Project	
	X	Y
Initial investment	Tk. 1,35,000	Tk. 92,000
Year	Net cash inflow (NCB)	
1	Tk. 40,000	Tk. 55,000
2	Tk. 28,000	Tk. 35,000
3	Tk. 45,000	Tk. 20,000
4	Tk. 35,000	Tk. 18,000
5	Tk. 45,000	Tk. 12,000

You are required to calculate IRR of each project and assess it acceptability.

Solution : ২৯৭ পৃষ্ঠার **Problem-35** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2014 No– 11(b); D.U. BBA (Hon's) 3rd Acc. 2017 No– 10(b)**

The expected cash flows of a project are as follows :

Year	Cash flow (Tk.)
0	(28,000)
1	6,000
2	7,000
3	10,000
4	11,000
5	9,000

The certainty equivalent factor behave as per the following equation $\alpha_t = 1 - 0.05t$ Calculate the net present value of the project if risk free rate to return is 8%.

Solution : ৩০০ পৃষ্ঠার **Problem-37** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2016 No–11; (Hon's) 4th MGT 2021 No-11**

A company has the following estimates of the present values of the future cash flows after taxes associated with the investment proposal, concerned with expanding the plant capacity. It intends to use a decision tree approach to get a clear picture of the possible outcomes of this investment. The plant expansion is expected to cost Tk. 3,00,000. The respective PVs of future CFAT and probabilities are as follows :-

PV of future CFAT

With expansion	Without expansion	Probabilities
Taka	Taka	
3,00,000	2,00,000	0.2
5,00,000	2,00,000	0.4
9,00,000	3,50,000	0.4

Advise the company regarding the financial feasibility of the project.

Solution : ৩০২ পৃষ্ঠার **Problem-40** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2022 No–14**

The company has made the following estimated with the investment proposal. The company intends to use decision tree approach. The initial investment is Tk. 4,00,000. The cost of capital is 15% and expected life of the project is 2 years. The other information is given below :

$CFAT_1$	Probability	$CFAT_1$	Probability	$CFAT_1$	Probability
1,60,000	0·40	2,20,000	0·40	3,00,000	0·20
$CFAT_2$	Probability	$CFAT_2$	Probability	$CFAT_2$	Probability
1,00,000	0·20	2,60,000	0·40	3,50,000	0·30
2,00,000	0·30	3,20,000	0·30	4,20,000	0·50
3,20,000	0·50	3,50,000	0·30	5,00,000	0·20
	1·00		1·00		1·00

Solution : ৩০৫ পৃষ্ঠার **Problem-43** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

⊠⊠ **Problem-18** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–11**

Recently a firm named Meesho Ltd evaluating an investment proposal, requiring an outlay of Tk. 2,00,000 for 2 years economic life. It has no salvage value. The estimated cash inflows after tax (CFAT) are as follows with their associated probabilities for year 1 and year 2 respectively :

Cash inflows after tax (CFAT) and Probability

Year 1					
Tk. 80,000	0.30	Tk. 1,10,000	0.40	Tk. 1,50,000	0.30

Year 2					
Tk. 40,000	0.20	Tk. 1,30,000	0.30	Tk. 1,60,000	0.10
Tk. 1,00,000	0.60	Tk. 1,50,000	0.40	Tk. 2,00,000	0.80
Tk. 1,50,000	0.20	Tk. 1,60,000	0.30	Tk. 2,00,000	0.10

Should the investment proposal be accepted? (Assume discount rate 10%)

Solution : ৬০৩ পৃষ্ঠার **Question No-11** নং প্রশ্নের উত্তর দেখুন।

2. Risk Analysis

ooo **Problem-19** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No– 11**

The following are the possible cash-flows for project 'A' and 'B' and their associated probabilities (P). Calculate the expected monetary value for each of the projects. Which project is preferable?

Possible events	Project 'A'		Project 'B'	
	CF (Taka)	Probability (P)	CF (Taka)	Probability (P)
1	14,000	0.10	12,000	0.10
2	15,000	0.20	10,000	0.15
3	16,000	0.40	15,000	0.50
4	17,000	0.20	16,000	0.15
5	18,000	0.10	20,000	0.10

Solution : ৩০৬ পৃষ্ঠার **Problem-44** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-20** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2016 No– 09**

Calculate the expected return and standard deviation using the following information :—

Year	Rate of return	Probability
1	12%	0·20
2	8%	0·40
3	10%	0·25
4	– 5%	0·15

Solution : ৩০৭ পৃষ্ঠার **Problem-45** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-21** ***Year Question & Solution*** ⊙**N.U. BBA (Hon's) 3rd (Finance) 2018 No-03**

The expected future annual net operating incomes of firm 'A' and 'B' are Tk. 25,000 with the standard deviation of Tk. 12,000. Firm 'A' is debt free which 'B' has 6% debenture of Tk. 1,50,000. If no tax are assumed which firm is more risky from the shareholders point of view.

Solution : ৩০৮ পৃষ্ঠার **Problem-48** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-22** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–11**

Stock X and Y have the following probability distributions and expected future return :

Probability	Stock X	Stock Y
0.10	–10%	–30%
0.20	2	0
0.40	12	20
0.20	20	25
0.10	38	40

An investor seek your opinion as to which stock he/she should invest his/her money.

Solution : ৩১১ পৃষ্ঠার **Problem-52** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-23** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2021 No–11**

You are supplied with the following information of a project :

Initial cash outlay Tk. 5,000. The CFAT and respective probability are given below :

Year-1		Year-2		Year-3	
CFAT (Tk.)	Probability	CFAT (Tk.)	Probability	CFAT (Tk.)	Probability
1,500	0.20	2,000	0.50	2,500	0.10
2,000	0.40	2,300	0.10	3,000	0.30
2,500	0.30	2,500	0.20	3,500	0.30
3,000	0.10	2,800	0.20	5,000	0.30

The rate of cost of capital is 5%

Required :

(a) Calculate expected value of CFAT for each year.

(b) Calculate expected NPV of the project by using cost of capital as the discounting rate.

Solution : ৩১১ পৃষ্ঠার **Problem-53** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-24** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No–13**

The following are the probability distribution and return of two securities are given below :

Probability	Rate of return	
	A	B
$\frac{1}{3}$	0.09	– 0.10
$\frac{1}{3}$	– 0.06	0.05
$\frac{1}{3}$	0.20	0.09

Find out the portfolio return and portfolio standard deviation. Assume 60% invest in stock-A and 40% invest in stock-B. The covariance of security A and B is 0.90.

Solution : ৩১৪ পৃষ্ঠার **Problem-56** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-25** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2018 No–09**

The risk-free rate of return is 11% and the market return is 16%. The beta of the project under analysis is 1.4, with net cash-flows estimated to be Tk. 1,500 per year for 5 year. The investment outlay on the project is Tk. 4,500.

Requirement :

(a) What is the risk adjusted discounted rate?

(b) What is the risk adjusted net present value of the project.

(c) Should the project be selected?

Solution : ৩১৭ পৃষ্ঠার **Problem-60** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-26** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No– 11**

Neha Ltd. is considering investment in one of the mutually exclusive projects, P and Q. The firm's cost of capital, K is 15%, the risk free rate R_f is 5% and market return is 12%. The firm has gathered the following basic cash flows and risk index data for each project :

	Project (J)	
Particulars	**P**	**Q**
Initial investment	Tk. 10,000	Tk. 18,000
Year	Cash in flows (CFT)	
1	Tk. 6,000	Tk. 5,000
2	3,000	6,000
3	7,000	9,000
4	3,000	11,000
Risk index (RIJ) or Beta factor	1.00	0.70

Required :

(a) Find the net present value (NPV) of each project using the firm's cost of capital. Which project is preferred in this situation?

(b) Determine the RADR using CAPM.

(c) Use the RADR for each project to determine its risk adjusted NPV. Which project is preferable in this situation?

(d) Compare and discuss your findings in (a) and (b). Which project do you recommend that the firm accept?

Solution : ৩২১ পৃষ্ঠার **Problem-65** নং প্রশ্নের উত্তর দেখুন।

Chapter 03 Theory of Capital Structure

(মূলধন কাঠামো তত্ত্ব)

Part-A (Brief Questions) :

০০০ 01. What is capital structure?
(মূলধন কাঠামো কী?) 99%
[N.U. Acc 3rd- 2020; (Finance 3rd)-2017]
Ans : Capital structure refers to the mixture of long term sources of debt and equity funds.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 02. What is financial structure? (আর্থিক কাঠামো কী?) 99% *[N.U. (Finance 3rd)-2020]*
Ans : The financial structure of a firm means the total of all liabilities and ownership claims the sum of what is usually the credit side of the balance sheet.

০০০ 03. What do you mean by optimum capital structure? 99% *[N.U. Old-2014, Acc 3rd-2016, (Finance 3rd)-2018, 2021; (Mgt 4rth)-2020]*
Or, What is optimal capital structure?
(কাম্য মূলধন কাঠামো কী?)
Ans : Optimal capital structure is the capital structure that minimizes the firm's cost of capital and there by maximizes the value of the firm.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 04. What are the elements of capital structure? (মূলধন কাঠামোর উপাদানগুলো কী?) *[D.U. Acc-2016]*
Ans : The elements of capital structure are long term debt, preferred stock, common stock and retained earnings.

০০০ 05. What is Indifference Point?
(নিরপেক্ষ বিন্দু কী?) *[N.U.2014]*
Ans : Indifference point is the level of EBIT where EPS is the same of two alternatives.

06. Define arbitrage? (আর্বিট্রেজ এর সংজ্ঞা দাও।)
[২০২৪ সালে যা এসেছিল] [N.U.2013; (Finance 3rd)-2022, 2024; (Mgt 4rth)-2019]
Or, What is arbitrage? (আর্বিট্রেজ কী?)
***Ans :** Arbitrage means finding two assets that are essentially the same, buying the cheaper and selling the more expensive.*

০০০ 07. What is arbitrage process? 99%
(আরবিট্রেজ প্রক্রিয়া কী?)
[N.U. Acc 3rd-2016; (Finance 3rd)-2019]
Or, What do you mean by arbitrage process?
Ans : The arbitrage process is the purchase of securities whose prices are lower and sale of securities whose prices are higher, unrelated markets which are temporarily out of equilibrium.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 08. What is Miller model? (মিলার মডেল কী?)
Ans : Merton Miller introduced a model designed to show how leverage affect firm's values when both personal and corporate taxes are taken into account.

০০০ 09. What is debt capacity? (ঋণ ক্ষমতা কী?)
Ans : Debt capacity is the maximum proportion of debt that the firm can include in its capital structure and still maintain its lowest composite cost of capital. *[N.U.Acc 3rd-2018]*

০০০ 10. Write down the full form of CAPM.
Or, Elaborate CAPM. (CAPM এর পূর্ণরূপ লিখ।)
[N.U. -2012; 4th Mgt-2018; 2021 (Acc. 3rd)]
Ans : The full form of CAPM is Capital Assets Pricing Model.

০০০ 11. What is leverage?(লিভারেজ কী?) 99%
Or, Define leverage. *[N.U. (Finance 3rd)- 2022]*
Ans : The use of fixed cost assets or fund in an attempt to increase profitability is called leverage.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 12. What is operating leverage?
(পরিচালনা লিভারেজ কী?)
Ans : Operating leverage is the potential use of fixed operating costs to magnify the effects of changes in sales on the firm's earnings before interest and taxes.

০০০ 13. What is earning per share (EPS)? 99%
[N.U. Acc 3rd-2017, 2019; 4th Mgt-2018; (Finance 3rd)-2022]
Or, What is EPS? (ই.পি.এস কী?)
Ans : Earnings per share is a financial metric that measures the portion of a company's profit that is allocated to each outstanding share of common stock.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০ 14. What is DPS? (ডিপিএস কী?)
Ans : Dividend Per Share (DPS) is the sum of decleared dividends issued by a company for every ordinary share outstanding.

oo 15. **What is price earnings (P/E) ratio? (মূল্য আয় অনুপাত কী?)** *[N.U. Acc 3rd-2018]*

Ans : The P/E ratio measures the amount that investors are willing to pay for cash taka of firm's earnings.

ooo 16. **What is financial leverage? (আর্থিক লিভারেজ কী?)**

Ans : The amount of debt used in capital structure reflects the financial leverage.

ooo 17. **What is levered firm? (লিভারেজ যুক্ত ফার্ম কী?)**

[N.U. 2013; (Finance 3rd)-2016; (Mgt 4rth)-2020]

Ans : A firm that used debt in its capital structure. The term often refers to firms that have a large percentage of debt relative to equity when compared against peers in the same industry.

oo 18. **What is unlevered firm? (লিভারেজ বিহীন ফার্ম কী?)**

Ans : The firm not using any debt can be labeled as unlevered firm.

19. What is business risk? (ব্যবসায় ঝুঁকি কী?)

[২০২৪ সালে যা এসেছিল] [N.U. 2013; (Finance 3rd)-2022, 2024; 4th Mgt-2018]

***Ans :** Business risk refers to the risk associated with the firm's operations.*

oooo 20. **Define risk in finance.** 99%

[N.U. Acc 3rd- 2018, 2020; (Finance 3rd) 2021; 4th (Mgt.) 2022]

Or, What is financial risk? (আর্থিক ঝুঁকি কী?)

Or, What do you mean by financial risk?

Ans : Financial risk refers to the additional risk placed on firm's shareholders as a result of debt use in financing.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 21. **What is WACC?** *[D.U. (Finance 3rd)-2016]*

Ans : WACC may be defined as the average or overall cost of capital for the firm, considering the proportionate weights of each source of capital.

ooo 22. **What is corporate tax? (কর্পোরেট কর কী?)** *[N.U. Acc 3rd-2020]*

Ans : A tax that must be paid by a corporation based on the amount of profit generated. The amount of tax, and how it is calculated, various depending upon the region where the company is located.

ooo 23. **Who developed the NI approach?** *[N.U. 4th Mgt-2017]*

Ans : David Durand developed the NI approach.

oooo 24. **What is financial distress?** 99%

[N.U. (Finance 3rd)-2019]

Ans. Financial distress is a term in corporate finance used to indicate a condition when promises to creditors of a company are broken or honoured with difficulty.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 25. **What is cost driver?** *[N.U. Acc 3rd- 2019]*

Ans : Any output measure of resources and activities is called cost driver.

ooo 26. **Define marginal cost.** *[N.U. Acc 3rd- 2019]*

Ans : The additional cost resulting from producing and selling one additional unit is called marginal cost.

ooo 27. **What is CAPM?** 99% *[N.U. (Finance 3rd)-2020]*

Ans : The capital assets pricing model is a model that describes the relationship between the expected return and risk of investing in a security.

ooo 28. **What is bankruptcy costs?** *[N.U. 4th Mgt-2020]*

Ans : The administrative, legal and opportunity costs that are associated with bankruptcy are known as bankruptcy cost.

oooo 29. **What is peaking order theory?** 99%

[N.U. (Finance 3rd)-2021]

Ans : A hierarchy of financing that begins with retained earnings, which is followed by debt financing and finally external equity financing.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

Part- B & C (Short & Broad Questions) :

ooo 01. Discuss the features of an optimal capital structure.
[Ans : [redacted] (৪র্থ খণ্ড) বইয়ের 331 Page 3.21 No.] *[N.U. 4th Mgt- 2017]*

ooo 02. Define optimum capital structure. [Ans : 327 Page 3.06 No.]
Or, What is optimam capital structure? *[টেস্ট পরীক্ষা- সিদ্ধেশ্বরী গার্লস কলেজ; D.U.BBA (Hon's 4th -2016 (Finance)]*

oo 03. What's meant by arbitrage? [Ans : 326 Page 3.04 No.]

ooo 04. Describe the arbitrage process of levered firm? [Ans : 327 Page 3.05 No.] *[N.U. Accounting- 2017]*

ooo 05. Distinguish between capital structures and financial structure. [Ans : 329 Page 3.13 No.]
Or, Difference between capital and financial structure. *[টেস্ট পরীক্ষা- ইডেন, হাবিবুল্লাহ ও বরিশাল কলেজ]*

○○ 06. Explain in brief the assumptions of Modigliani and Miller (MM) theory. **[Ans : 333 Page 3.27 No.]**
N.U. Acc- 2018]

○○○ 07. What is cost of financial distress? **[Ans : 328 Page 3.08 No.]** *[N.U. Acc- 2016]*

○○○ (08) **Differentiate between Net Income (NI) approach and Net Operating Income (NOI) approach?** 99%
[টেস্ট পরীক্ষা- ইডেন, কারমাইকেল ও বরিশাল কলেজ; D.U. 2016 (Finance); N.U. BBA(Finance)-2018; 4th Mgt-2017
Or, Show the difference between NI approach and NOI approach. **[Ans : 330 Page 3.15 No.]**
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

○○ 09. Briefly explain the concept of capital structure with example. **[Ans : Page No 325; Ques. No 3.01]**
[N.U. 2020 (Finance)]

○○○ 10. **Explain the M-M theory of capital structure with example.** 99% **[Ans : 330 Page 3.17 No.]**
[N.U. 2020 (Finance)]

○○○ (11) **State the factors determining the capital structure.** 99% **[Ans : 331 Page 3.22 No.]**
[D.U.BBA (Hon's 4th -2016 (Acc.); N.U. 2021 (Finance); Accounting- 2017]
Or, Briefly explain the basic four capital structure theories.
Or, Describe in brief the external factors determining capital structure.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

○○○ 12. **Short Notes : NOI approach** 99% **[Ans : 329 Page 3.14 No.]** *[N. U. 2021 (Finance)]*

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 08, 10 & 11 No. Questions in are most important for the Examinee of 2025.*** ***Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

○○○ **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No– 4**
Delta Ltd. has an expected annual net operating income of Tk. 1,00,000 an equity capitalization rate of 10% and Tk. 5,00,000 of 6% debt. What will be the value and overall cost of capital of the firm under NI approach?

Solution : ৩৩৭ পৃষ্ঠার **Problem-02** নং প্রশ্নের উত্তর দেখুন।

○○ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No– 09**
ANZ Company expected annual net operating income (EBIT) is Tk. 5,00,000. The company has 10% debt of Tk. 20,00,000. The cost of equity of the company is 12.50%. The number of shares of the company is 24,000.
Required :
(i) Find out the total value of the firm (V).
(ii) Find out the k_0 of the firm.
(iii) Determine the market value per share.

Solution : ৩৩৮ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

○○ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2020 No–06**
A company's expected yearly net operating income is Tk. 1,50,000; cost of debt is 10% outstanding debt Tk. 5,00,000. The overall capitalization rate (k_O) is 12%.
Required :
(a) What would be the total value of the firm?
(b) What would be the equity-capitalization rate?

Solution : ৩৪০ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-04** ***Year Question & Solution*** ⊙ **D.U. BBA (Hon's) 3rd Finance 2016 N.U. BBA (Hon's) 3rd (Old) 2012 No–8; 4th Year Management 2020 No–9**

Reza Brother's Company/The ABIR and Co.s expected earning before interest and taxes (EBIT) is Tk. 50,000. The Co. has 10% debt of Tk. 2,00,000. The equity capitalization rate (k_e) of the company is 12.50%. The number of common stock of the company is 2,000.

Required :

(i) Find out the total value of the firm (V).
(ii) Find out the k_0 of the firm.
(iii) Determine the market value per share.
(iv) Determine the EPS.

Solution : ৩৪১ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2016 No– 12**

Yarun company with net operating earnings (EBIT) of Tk. 30,000 is attempting to evaluate a number of possible capital structure, given below which of the capital structure will your recommend and why :—

Capital structure	Level of debt (Taka)	k_d(%)	k_e(%)
1	30,000	10.00	12.00
2	40,000	10.00	12.50
3	50,000	11.00	13.50
4	60,000	12.00	15.00
5	70,000	14.00	16.00

Solution : ৩৪২ পৃষ্ঠার **Problem-12** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

XX **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–4**

ABC company needs Tk. 10,00,000 to finance its expansion. It is considering the following two capital structure options :

Source	Option-A : Debt-equity (40 : 60)	Option-B : Dept-equity (60 : 40)
Cost of debt	10%	12%
Cost of equity	15%	18%
Tax rate	30%	30%

Required :

(a) Calculate the weighted average cost of capital (WACC) for both options.
(b) Suggest which option is better based on WACC.

Solution : ৬০০ পৃষ্ঠার **Question No-4** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No– 12**

The following information is available for company 'K' and 'Q' : –

Details	K	Q
Net operating income	Tk. 2,00,000	Tk. 2,00,000
Interest on debt		Tk. 50,000
Cost of equity	16%	16%
Cost of debt	10%	10%

By using NI approach you are required the following questions :

(i) Market value of equity, market value of debt and value of both company.
(ii) What is the average cost of capital for each of the company?
(iii) What happens to the WACC of 'K' if it employees Tk. 3,00,000 of debt to finance a project that yields an operating income of Tk. 40,000?

Solution : ৩৪৪ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–6**

AAA Corporation has EBIT of Tk. 7,75,000 per year that is expected to continue in perpetuity. The unlevered cost of equity for the company is 12% and the corporate tax rate is 24%. The company also has a perpetual bond issue outstanding with a market value of Tk. 18,00,000.

What is the value of the company?

Solution : ৩৪৫ পৃষ্ঠার **Problem-17** নং প্রশ্নের উত্তর দেখুন।

oo★ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2015 No– 05**

There are two companies U and L. Where L is levered firm and U is unleveled firm which has no debt. L firm has Tk. 1,50,000 debt at 10%. Assume that there is no corporate tax and personal tax. The expected EBIT is Tk. 5,00,000 and cost of equity is 20%.

Required :

(a) Value of U firm (V_U)
(b) Value o L firm (V_L)
(c) Cost of equity of U firm
(d) Market value of share of L firm.

Solution : ৩৪৭ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–12**

There are two companies. Company U and L. U denotes unlevered firm and L denotes levered firm. The company L has Tk. 60,00,000 debt at 9% annual rate of interest. Assume that all of the M-M assumptions are met. Corporate tax 40%. Expected EBIT is Tk. 2,50,000. The cost of equity to company U is 15%.

Calculate :

(a) Value of the firm L and U
(b) The cost of equity of U firm
(c) Market value of share of L firm
(d) Cost of equity of L firm
(e) WACC of U firm
(f) WACC of L firm.

Solution : ৩৪৮ পৃষ্ঠার **Problem-22** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–13**

Following information are available for Alpha Ltd.

Particulars	'U' Firm	'L' Firm
EBIT	Tk. 2,50,000	Tk. 2,50,000
10% Debt	–	8,00,000
k_{eu}	15%	–
Corporate tax rate	40%	40%
Personal tax rate	10%	10%

Requirements :

(a) Value of unleveled firm.
(b) Value of levered firm.
(c) Gain from leverage.
(d) Cost of equity of unleveled firm.
(e) Cost of equity of levered firm.

Solution : ৩৫৩ পৃষ্ঠার **Problem-27** নং প্রশ্নের উত্তর দেখুন।

।২০২৪ সালের পরীক্ষায় যা এসেছিল-

Problem-12 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–13**

From the following selected data, determine the value of firms, PCL and KPL, belonging to the homogeneous risk class, under the net income (NI) approach : .

Firm	Levered firm PCL	Unleveled firm KPL
EBIT	Tk. 2,25,000	Tk. 2,50,000
Interest @ 15%	75,000	Nill
Cost of equity capital	20%	20%

Which of the two firms has an optimum capital structure under the NI approach?

Solution : ৬০৫ পৃষ্ঠার **Question No-13** নং প্রশ্নের উত্তর দেখুন।

Problem-13 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–16**

There are two firms X and Y, which are identical in all respects except that the firm X has 10% debentures of Tk. 6,00,000. The EBIT of both firms are Tk. 1,20,000. The cost of capital of firm X and Y are 12% and 11% respectively. Determining the total market value (V) and overall cost of capital of the two firms; opines which one is less cost and more value.

Mr. Shdi an investor, holds 10% of the outstanding shares of the X firm. Should he prefer switching from X firm to Y firm.

Solution : ৩৫৬ পৃষ্ঠার **Problem-30** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

Problem-14 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No– 12**

Two companies M and N belong to same risk class. The two companies are identical in every respect except that company M is levered, while N is unlevered. The outstanding amount of debt of the levered company is Tk. 15,00,000 is 10% debentures. The other information for the two companies are as follows :

	Firm M (Levered)	Firm N (Unlevered)
NOI (Net operating income)	22,50,000	22,50,000
Interest on debt	1,50,000	0
Earnings to equity holders	21,00,000	22,50,000
Equity capitalization rate	0.14	0.125
Market value of equity	1,50,00,000	1,80,00,000
Market value of debt	15,00,000	0
Market value of firm	1,65,00,000	1,80,00,000
Overall capitalization rate	0.1364	0.125
Debt/equity ratio	0.1	0

Show the arbitrage process by which a investor holds shares worth Tk. 22,500 in company N will be benefited by investing in company M.

Solution : ৩৫৯ পৃষ্ঠার **Problem-34** নং প্রশ্নের উত্তর দেখুন।

Problem-15 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2009; 4th Year Management 2019 No–6; 3rd Finance 2022 No–8**

XYZ Company/ABC Company, the following debt and equity capital (after tax) have been made at various investment plans. You are required to determine optimum debt equity mix for the company by calculating the composite cost of capital :

Plan	% of debt	Cost of debt (k_d) (%)	Cost of equity (k_e) (%)
A	0	0	12
B	10	5	12
C	20	5.2	12.5
D	30	6	13

E	40	6.5	14
F	50	7	15
G	60	7.5	16

Solution : ৩৬১ পৃষ্ঠার **Problem-36** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2015 No–12; 4th Year Management 2018 No–12.**

PQR/ABC Ltd. has the following capital stürcture :-

Particulars	Amount
Equity (Tk. 100)	10,00,000
12% Debt	5,00,000
Total capital	15,00,000

The company wishes to raise Tk. 5,00,000 for expansion programms. The following alternatives are available :

(i) 100% equity.
(ii) 50% equity and 50% debt at 12%.
(iii) 100% debt at 12%.

The expected EBIT is Tk. 20,00,000 the tax rate is 40%. Calculate the EPS and which one would you prefer. Also calculate the indifference EBIT between alternatives *(i)* and *(ii)*.

Solution : ৩৬২ পৃষ্ঠার **Problem-39** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2022 No–15**

The capital structure of Meghna Oil Ltd. is as follows :

Common stock capital (40,000 shares Tk. 100 each)	Tk. 40,00,000
12% debenture	Tk. 10,00,000
Total capital	Tk. 50,00,000

The company's planning to expand its total capacity that will required additional capital of Tk. 20,00,000, there are three alternative methods of financing :

(i) Issuing 12% debenture
(ii) Issuing 14% preferred stock
(iii) Issuing common stock at Tk. 100 each.

The expected earning before interest and taxes (EBIT) is Tk. 15,00,000. Corporate tax rate is 40%. You are required to calculate earning per share under different methods of financing. Recommend which alternative is best and why.

Solution : ৩৬৭ পৃষ্ঠার **Problem-42** নং প্রশ্নের উত্তর দেখুন।

Chapter 04 Dividend Policy

(লভ্যাংশ নীতি)

Part-A (Brief Questions) :

01. What is dividend policy? (লভ্যাংশ নীতি কী?)
[২০২৪ সালে যা এসেছিল] *[N.U. 2015, 2024]*
Ans : *The complete guideline regarding the payment of dividend and retention of profit can be termed as the dividend policy.*

oo **02. What are the forms of dividends?**
(লভ্যাংশ গঠন কী?)
Ans : The main forms of dividends are cash, script, bond and stock.

oo **03. What is retained earnings?**
(সংরক্ষিত আয় কী?) *[N.U. (Mgt 4rth) 2020]*
Ans : Retained earnings are the portion of net income not distributed to the owners as dividends, they serve as a form of internal financing.

ooo **04. What is dividend yield? (লভ্যাংশ ইল্ড কী?)**
Ans : Anticipated annual dividend by the market price of the stock

05 What do you mean by flotation costs? 99%
[D.U. (Finance 3rd)-2016, 2019; N.U. (Old) 2012; (Finance 3rd) 2019, 2023; (Mgt 4th)-2020, 2022]
Or, What is a flotation cost? (উত্তরণ খরচ কী?)
Ans : The costs associated with issuing securities such as underwriting, legal, listing, and printing fees are called flotation costs.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। –সম্পাদক]

06 Define dividend Pay-out ratio (D/P ratio). 99%
Or, What is dividend payout ratio?
(লভ্যাংশ পরিশোধ অনুপাত কি?
[N.U. (Management)-2019; (Finance 3rd)-2017, 2019; 2021 (Acc. 3rd)]
Ans : Dividend payout ratio indicates the percentage of Company's earnings that paid out to the shareholders in cash.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। –সম্পাদক]

ooo 07. What is the residual dividend theory?
(অবশিষ্ট লভ্যাংশ তত্ত্ব কী?)
Ans : According to the residual dividend theory, dividends are paid only if retained earnings are available after financing all acceptable investments.

ooo 08. Mention the types of firms as directed by Walter Model. *[N.U. 2021 (Acc)]*
Ans : The types of firms as directed by Walter Model are 1. Growth firm. 2. Normal firm and 3. Declining firm.

09 What is stock repurchase? (স্টক পুনঃক্রয় কী?) 99% *[N.U. (Finance 3rd)-2017, 2019]*
Ans : Stock repurchase is a program by which a company buys back its own shares from the marketplace reducing the number of outstanding shares.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। –সম্পাদক]

10. What is stock split? (স্টক খণ্ডন কী?) [২০২৪ সালে যা এসেছিল]
[N.U. 2014; Acc 3rd- 2016, 2019; (Finance 3rd)-2018, 2022, 2024; (Mgt 4rth)- 2019, 2021]
***Ans :** When a company increases its number of equity shares by reducing the face value of its share than it is known as stock split.*

ooo 11. What is reverse stock split? *[N. U. (Finance 3rd) 2016]*
Ans : Reverse stock split is a method used to raise the market price of a firms stock by exchanging a certain numbers of outstanding shares for one new share.

ooo 12. What is declaration date? (ঘোষণা তারিখ কী?)
Ans : The date when the corporation actually pays the declared dividend.

13 What is stock dividend? (স্টক লভ্যাংশ কী?) 99%
[D.U. Acc-2017; N.U. 2014; 4th Mgt-2017, 2022; (Finance 3rd)-2019, 2023]
Ans : Stock dividend is paid in the form of the company stock due to raising of more finance.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। –সম্পাদক]

ooo 14. What is preferred stock? *[N.U. 2015]*
Ans : Preferred stock is a kind of stock which gots priority achieving dividend and capital back.

oo 15. What is small stock dividend?
(ক্ষুদ্র স্টক লভ্যাংশ কী?)
Ans : A small stock dividend is a stock dividend that represent less than 20 to 25 percent of the common stock outstanding when the dividend is declared.

ooo 16. What is retention ratio? 99%
[N.U. 2015; 4th Mgt-2018; (Finance 3rd)-2022]
Ans : The part or percentage of the net earnings that is retained is known as retention ratio.

ooo 17. What is extra dividend?
(অতিরিক্ত লভ্যাংশ কী?)
Ans : An additional dividend optionally paid by the firm if earnings are higher than normal in a given period. It is brought about the special circumstances.

ooo 18. What is cash dividend? *[N.U. Acc 3rd-2019; 4th Mgt-2021]*
Ans : If the dividend is paid in the form of cash to the shareholders is called cash dividend.

o 19. What is bonus share? *[N.U. Acc 3rd-2020]*
Ans. Bonus share are additional shares given to the current shareholders without any additional cost, based upon the number of shares that a shareholder owns.

oo 20. What is trade off model? *[N.U. (Finance 3rd)-2020]*
Ans. The trade off model of capital structure is a financial theory that suggests that a company should balance the costs and benefits of various sources of financing, such as debt and equity in order to achieve an optimal structure.

ooo 21. What do you mean by stable dividend policy? 99% *[N.U. (Finance 3rd)-2020]*
Ans. Stable dividend policy means regular payment of certain minimum amount of dividend irrespective of the firm's profit or loss during a given period.

22 What are two main types of dividends? 99%
[N.U. (Finance 3rd)-2021]
Ans. The main two types of dividends are–
1. Cash dividend & 2. Stock dividend.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 90% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। –সম্

Part-B & C (Short & Broad Questions) :

০০০ 01. What is mean by dividend policy? [Ans : ধ্রুপদী হিসাববিজ্ঞান ও ব্যবস্থাপনা হিসাব (৪র্থ খণ্ড) বইয়ের 374 Page 4.01 No.]
Or, Definition of dividend policy? *[টেস্ট পরীক্ষা- কুমিল্লা ভিক্টোরিয়া, যশোর সিটি কলেজ; N.U. (Hon's) 2006, 2012]*

০০ 02. Discuss the various types of dividend.[Ans : 382 Page 4.27 No.] *[N.U. 4th Mgt -2017]*

০০ 03. (a) Which factors affecting dividend policy? [Ans : 375 Page 4.05 No.] *[D.U. 2016 (Finance); N.U. Acc- 2017]*
(b) Write down the benefit of share repurchase. [Ans : 378 Page 4.13 No] *[N.U. Acc- 2017]*

০০০ 04. Discuss the determinants of an optimum dividend policy. [Ans : 377 Page 4.12 No.] *[N.U. 4th Mgt- 2017]*

০০ 05. Discuss the importance/advantages/reasons of dividend policy. [Ans : 378 Page 4.14 No.]

০০০ (06) **(a) Discuss different types of dividend policy.** 99% [Ans : 375 Page 4.04 No.] *[টেস্ট পরীক্ষা- তিতুমীর, কবি নজরুল, যশোর সর. সিটি ও কুমিল্লা ভিক্টোরিয়া কলেজ; N.U. (Hon's) 2007, 2012, Acc- 2018; D.U. Acc- 2016]*
Or Discuss the Various types of dividend policy.
(b) Differentiate between stock dividend and stock split. 99% [Ans : 380 Page 4.19 No.]
Or, Show the differences between stock dividend & stock split. *[N.U. 2007, Acc- 2018]*
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

০০০ 07. **State the effects of stock split.** 99% [Ans : 380 Page 4.18 No.] *[N.U. 2020 (Finance)]*

০০০ (08) **Explain the impact of a stock repurchase on a company's debt ratio?** 99% *[N.U. 2023 (Finance)]*
[Ans : 377 Page 4.11 No.]
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 06, 07 & 08 No. Questions in are most important for the Examinee of 2025.*** ***..... Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

০০ **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Mgt. 2018 No– 08**

Nur Fertilizer Ltd. Provides the following information :

Earning for common stockholder (EAT)	Tk. 10,00,000
Number of ordinary shares	Tk. 5,00,000
Earning per share (EPS)	Tk. 2.00
Price earning (P/E) ratio	15 times

Required : Calculate of market price share (MPS).

Solution : ধ্রুপদী হিসাববিজ্ঞান ও ব্যবস্থাপনা হিসাব (৪র্থ খণ্ড) বইয়ের ৩৮৭ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No– 05**

The following information is supplied to you, about Zihan Company :

Earnings of the company	Tk. 15,00,000
Dividends paid	5,00,000
Number of issued shares	100,000
Price earnings ratio	10
Rate of return on investment (%)	15

Determine the theoretical market price of the share, (according to Walter's model)

Solution : ৩৮৭ পৃষ্ঠার **Problem-02** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No–09**

A company earns Tk. 20 per share at an internal rate of return is 15%. The firm has a policy of 40% earnings as dividend. If required rate of retum is 10%, determine the price of share according to Walter's model.

Solution : ৩৮৯ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল]

⊠⊠ **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–7**

Sunlight Co. has an EPS of Tk. 10 and its interest rate is 16%. The firm has a policy of paying 60% of earnings as dividend. If the required rate of return is 12%, determine the price of the share under Walter model.

Solution : ৬০২ পৃষ্ঠার **Question No-7** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2022 No–6**

The earning per share of a company are Tk. 10. If has an internal rate of return of 15% and capitalization rate of risk class is 12·5%. It Walters model is used—

(i) What should be the optimum payout ratio of the firm?

(ii) What should be the price of the share at this payout ratio?

Solution : ৩৯১ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No– 9**

Ruposhi Bangla Ltd. has an investment of Tk. 10,00,000 and the number of equity share is 10,000. The internal rate of return of the company is 16%, the capitalization rate of the company is 15%. You have to calculate the price of the share according to Walter's model if the company pays (i) 30% and (ii) 20% of its earnings as dividend.

Solution : ৩৯১ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–09**

Assuming cost of equity is 11%, rate of return on investment is 13% and earnings per share is Tk. 16. Calculate price of share using Gordon model, if dividend payout ratio is 9.00%.

Solution : ৩৯৩ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2016 No– 05**

United finance currently has an EPS of Tk. 40. The cost of capital of the firm is 10% and internal rate of return 14%. If the company pays 60% dividend of its earnings then calculate the price of the share according to Gordons model.

Solution : ৩৯৫ পৃষ্ঠার **Problem-16** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No– 05**

Consider the following data relating to ABC Ltd.

Earning per share (EPS) Tk. 12

k_e 10%

Retention ratio 40%

No of share outstanding 50,000

Rate of return (r) = 8%, 10%, 12%

Required : Market price per share (P_0) by using Gordon model.

Solution : ৩৯৬ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No–14**

From the following data of Apex Shoe Ltd. you are required to calculate the-

(i) Market price per share (P_0)

(ii) Market value of the firm (V) by using Walter and Gordon model :

Earning per share Tk. 20

Equity capitalization rate 12%

Retention ratio 40%

No. of shares outstanding 50,000

Internal rate of return (r) :

(a) 10%,

(b) 12%,

(c) 15%.

Solution : ৩৯৮ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No–13**

The following information is given below of Dhaka shoe Ltd. : –

Equity Accounts

Particulars	Amount in Taka
Common stock capital 1,00,000 @ Tk. 100	1,00,00,000
Paid up capital	50,00,000
Retained earnings	3,50,00,000
Total capital	5,00,00,000

The current market price of share is Tk. 130 what will be happen in equity position, if-

(i) 10% stock dividend paid

(ii) 25% stock dividend paid

Solution : ৪০২ পৃষ্ঠার **Problem-24** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No– 16**

Afia Co. Ltd. has the following capitalization :

	Taka
Equity capital (10,00,000 shares @ Tk 5 per)	50,00,000
Paid-up capital	2,50,00,000
Retained earnings	7,00,00,000
Total capital	10,00,00,000

Show the new capitalization of Afia Co. Ltd. if-

(i) The company splits its share 2 for 1 share.

(ii) The company declares 20% stock dividend.

(iii) The company reverse splits of 1 for 4 shares.

Solution : ৪০৮ পৃষ্ঠার **Problem-29** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No–15**

The ACI Ltd. has the following capital structure :

	Taka
Common stock capital (Tk. 8 per share)	20,00,000
Additional paid in capital	16,00,000
Retained earnings	84,00,000
Total capital	1,20,00,000

The current market price per share is Tk.60. What will happen to account and to number of share outstanding with (i) 10% stock dividend (ii) 2 for 1 stock split (iii) 1 for 2 reverse stock split?

Solution : ৪০৯ পৃষ্ঠার **Problem-30** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–13**

The Alpha Ltd shareholders equity account of December 31, 2022 is as follows :

Particulars	Amount Tk.
Common stock capital (Tk. 5 par value, 10,00,000 shares)	50,00,000
Additional paid in capital	50,00,000
Retained earnings	1,50,00,000
Total shareholders equity	2,50,00,000

Currently the company is under pressure from shareholders to pay some dividends. Company's cash balance is Tk. 1,50,000 all of which is needed for transaction purpose. The current market price of share is Tk. 10.00.

Requirements :

(a) Reformulate the shareholders equity account if 15% stock dividend paid.
(b) Reformulate the shareholders equity account if the company pay a 25% stock dividend.
(c) Reformulate the shareholders account if the company declares a 2 for 4 stock split.

Solution : ৪১১ পৃষ্ঠার **Problem-31** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2022 No–16; MBA Finance 2020 No–16**

A company belong to a risk class for which the approximate capitalization rate is 10%. It currently has outstanding 25,000 shares selling at Tk. 100 each. The firm is contemplating the declaration of a dividend of Tk. 5 per share at the end of the current financial year. It expects to have a net income of Tk. 2,50,000 and has a proposal for making new investments of Tk. 5,00,000. Show that under the M-M assumptions, the payment of dividend does not affect the value of the firm.

Solution : ৪১৫ পৃষ্ঠার **Problem-35** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

ooo **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–14**

KIA Motors has an investment of Tk. 20 crore and 20 lakh equity shares. The face value of common share is Tk. 100 each. The company's cost of capital is 12%. The company also has an investment opportunity of Tk. 20 crore and makes a profit of Tk. 8 crore. If the company last year paid Tk. 10 as dividend of its shareholders, calculate the following values according to M-M hypothesis :

(a) What will be the market value of share at the end of year?
(b) How many shares must be issued for new financing?
(c) What will be the value of the firm–
(i) When dividend is paid?
(ii) When dividend is not paid?

Solution : ৪১৬ পৃষ্ঠার **Problem-36** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

XX **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–14**

KART BD Ltd. has a cost of equity of 12%, the current market value of the firm (V) is Tk. 25,00,000 (@ Tk. 25 per share). Assume values for I (new investment), E (earnings) and D (dividends) at the end of the year as I = Tk. 7,00,000, E = Tk. 3,00,000 and D = Tk. 2 per share. Show that under MM assumptions the payment of dividend does not affect the value of the firm.

Solution : ৪১৮ পৃষ্ঠার **Problem-37** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-18** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2019 No– 13**

Sun Ltd. has a cost of equity of 12%, the current market value of the firm is Tk. 25,00,000 @ Tk. 25 per share. Assume values for I (new investment), E (earnings) and D (Dividends) at the end of the year as I = Tk. 14,00,000, E = Tk. 6,00,000 and D = Tk. 2 per share. Show that under the MM assumption, the payment of dividend does not affect the value of the firm.

Solution : ৪১৯ পৃষ্ঠার **Problem-38** নং প্রশ্নের উত্তর দেখুন।

Chapter 05 Capital Market Financing
(মূলধন বাজার অর্থায়ন)

Part-A (Brief Questions) :

01 **What is financial market? (আর্থিক বাজার কী?)** 99% *[N.U. (Finance 3rd)-2018, 2020]*

Ans : A financial market is a mechanism for bringing together buyers and sellers of financial assets.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 02. **What is secondary market?**
(মাধ্যমিক বাজার কী?) *[N.U. (Acc)-2016]*

Ans : Secondary market is the market which outstanding stocks are traded after they have been issued by companies.

০০ 03. **What is hybrid security?**
[D.U (Acc)-2016; N.U. (Finance 3rd)-2018]

Ans. Hybrid security is a form of debt or equity financing that processes characteristics of both debt and equity financing.

০০০ 04. **What is underwriting? (অবলেখন কাকে বলে?)** 99%
[N.U. 2014; (Finance 3rd)-2019; D.U Acc- 2016]

Ans : Underwriting is the role of the investment bank is beating the risk of reselling at a profit the securities purchased from an issuing company at an agreed on price.

০০ 05. **What are the best efforts offering?**
(সর্বোচ্চ প্রচেষ্টা প্রস্তাব কী?) *[N.U. 2013]*

Ans : The best efforts offering instead of underwriting a securities issue, investment bankers may sell the issue on a best efforts offering basis.

06 **What is green shoe provision?** 99%
(গ্রিন সু প্রভিশন কী?) *[N.U. 2023 (Finance 3rd)]*

Ans : An option given to the underwriters to purchase additional number of shares is known as over allotment option or green shoe provision.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

07 **What is called Initial Public Offering?** 99%
Or, What is initial public offering (IPO)?
Or, What do you mean by IPO?
Or, Define IPO. *[N.U. Acc 3rd- 2018; (Finance 3rd)-2018, 2021; 4th Mgt-2017, 2019]*

Ans. When a company issues ordinary share to the public for the first time then it is known as initial public offering.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০ 08. **What is the elaboration of IPO?**
[N.U. 2015; Acc 3rd- 2020]

Ans. IPO = Initial Public Offering.

০০০ 09. **What is long-term financing?**
(দীর্ঘকালীন অর্থায়ন কী?)

Ans : Long-term financing is thought of as those which run for longer periods, typically for some period such as 10, 15, 20 years of more.

10 **What is right share? (রাইট শেয়ার কাকে বলে?)** 99%
[N.U. 2012; Acc 3rd-2019; (Finance 3rd)-2020]

Ans : The equity shares purchased by the existing shareholders under the pre-emptive right is termed as right share.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 11. **What is public issue? (পাবলিক ইস্যু কী?)**

Ans : Public issue is one of the cheapest way to collection of money from the capital market.

০০০ 12. **What is common stock? (সাধারণ শেয়ার কী?)**

Ans : The total amount of common share of a firm is called common stock.

13 **What is pre-emptive right?** *[N.U. 2012; Acc 3rd- 2017, 2020; (Finance 3rd)-2022]*
(প্রি এমটিভ অধিকার কী?) 99%

Ans : The privilege of shareholders to maintain their proportional company ownership by purchasing a proportionate share of any new issue of common stock, or securities convertible into common stock.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 14. **What is characteristics of financial market?**
[N.U. (Finance 3rd)- 2022]

Ans : The characteristics of financial market is transaction of financial assets.

০০০ 15. **What is meant by capital market?**
Or, What is capital market? (মূলধন বাজার কী?)
[N.U 2015, (Finance 3rd)2017]

Ans : Capital market is the market for relatively long-term financial instruments.

ooo 16. **What is called money market?**
Or, What is money market? (মুদ্রা বাজার কী?)
[N.U. 2017; (Finance 3rd)-2016; 4th Mgt-2017]
Ans : A money market is a financial market for issuing and trading short-term debt securities.

ooo 17. **What is primary market?**
(প্রাথমিক বাজার কাকে বলে?)
[N.U. Acc 3rd- 2018; (Mgt 4rth)-2020]
Ans : Primary market is the market in which firms issue new securities to raise corporate capital.

ooo 18. **What is new issued market? (নতুন ইস্যুকৃত বাজার কী?)** *[N.U. Acc 3rd- 2016]*
Ans : The new issue market is the market for stock of companies that go public, and the issue is called an initial public offering (IPO).

ooo 19. **What is private placement?** 99%
(ব্যক্তিগত উপস্থাপন কী?)
[N.U. (Finance 3rd)-2018; D.U. 2017]
Ans : A private placement is the sale of stock to only one or a few investors, usually institutional investors.

ooo 20. **What is right offering? (রাইট প্রস্তাব কী?)**
Ans : A short-term option to buy a certain number of securities from the issuing corporation; also called a subscription right.

21. ***What is prospectus? (প্রেসপেক্টাস/ বিবরণ পত্র কী?) [২০২৪ সালে যা এসেছিল]***
[N.U. Acc 3rd- 2017; 2024 (Finance 3rd)]
Or, What is prospectus of a company?
Ans : *A prospectus summarizes information about a new security issue and the issuing company.*

ooo 22. **Define zero coupon bonds. (জিরো কুপন বন্ডের সংজ্ঞা দাও?)** *[D.U. Acc 3rd- 2016]*
Ans : A zero-coupon bond is a bond bought at a price lower than its face value, with the face value repaid at the time of maturity.

oo 23. **What is BSEC?** *[N.U. 2014; 4th Mgt-2018]*
Ans: BSEC indicates Bangladesh Securities and Exchange Commission. It is the regulator of the capital market of Bangladesh Comprising DSE and CSE. The commission is a Statutory body and attached to the ministry of finance.

ooo (24) **Elaborate BSEC.** 99%
Or, What is the elaborating of BSEC?
[N.U. 2014; Acc 3rd- 2017, 2019, 2021; (Mgt 4rth) 2020; (Finance 3rd)-2019]
Or, Write down full meaning of BSEC.
Ans. The elaborating of BSEC is Bangladesh Securities and Exchange Commission.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 25. **What is best efforts arrangement?**
(সর্বোচ্চ প্রচেষ্টার ব্যবস্থা চুক্তি কী?)
[D.U. (Finance 3rd)-2016]
Ans : The best efforts arrangement is an arrangement for the sale of securities in which the investment bank handling the transaction gives no guarantee that the securities will be sold.

oo 26. **What is public issue?** *[N.U. 2012]*
Ans : When a company offer openly to the public for raising funds, then it called public issue.

ooo (27) **What is right issue?** 99%
[N.U. (Finance 3rd)-2017, 2023]
Ans : A right issue is an issue of the rights to buy additional securities in a company made to the company's existing security holders.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 28. **What is Junk Bond?** *[N.U. (Finance 3rd)-2016]*
Ans : The junk bond which is high risk, high yield instruments, issued by firms that use a great deal of financial leverage.

ooo 29. **What is sinking fund?** *[N.U. (Finance 3rd)-2016]*
Ans : A sinking fund is a fund containing money set aside or saved to pay off a debt or bond.

ooo 30. **What is bond refunding?** 99%
[N.U. 2013; (Finance 3rd) 2021; 4th Mgt -2018, 2022]
Ans : Bond refunding is the paying off high-interest rate bond with new lower-interest bond.

ooo (31) **What is bond indenture?** 99%
[N.U. 2023 (Finance 3rd)]
Ans : The bond indenture is the legal document, prepared by bond counsel, specifying the bond's financial and legal obligations.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 32. **What is best effort offering?** *[N.U. 2013]*
Ans : Best Efforts offering instead of underwriting a securities issue, investment bankers may sell the issue on a best efforts offering basis.

ooo 33. **Does share price fall after right issue?**
[N.U. 2021 (Finance 3rd)]
Ans. Yes, share price fall after right issue.

34. ***Define standby underwriting? [২০২৪ সালে যা এসেছিল]*** *[N.U. 2024 (Finance 3rd)]*
Ans : *Standby underwriting is a type of assurance given by the underwriters to the issuing company regarding the full subscription of the rights offering.*

Part- B & C (Short & Broad Questions) :

○○ 01. What is right share? [Ans : মনিস্যান্স ক্যাটালিস্ট ইন্টারন্যাশনাল (৪র্থ খণ্ড) বইয়ের 435 Page 5.45 No.]
Or, What is meant by privileged subscriptions? *[N.U. BBA(Hon's) 2011]*

○○ 02. Discuss the classification of bond in brief. **[Ans : 434 Page 5.44 No.]**
[টেস্ট পরীক্ষা- ইডেন, সা'দত, সিদ্ধেশ্বরী গার্লস, সা'দত, সাতক্ষীরা সর.সিটি মনসুর আলী কলেজ; D.U. Acc- 2016; N.U. 2015]
Or, Discuss various types of secured bond.
Or, Explain the various long-term debt instruments.

○○ 03. Distinguish between bond and common stock. **[Ans : 431 Page 5.33 No.]**
Or, Show the disfference between common stock and bond. *[D.U. 2017 (Acc); N.U. 2012, 2014, Acc- 2017]*

○○ 04. Distinguish between money market and capital market. **[Ans : 430 Page 5.31 No.]**
[N.U. Acc- 2018; (Finance) 2016]

○○○ 05. **Discuss the characteristics of right share. 99% [Ans : 435 Page 5.46 No.]** *[N.U: BBA(Hon's) Finance-2018]*

○○○ (06) **(a) Discuss the features of common stock capital. 99% [Ans : 428 Page 5.25 No.]** *[N. U. (Finance) 2019]*
(b) Why preference share is labelled as hybrid security? 99% [Ans : 430 Page 5.30 No.]
[N. U. 2015 (Finance) 2019]
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

○○○ (07) **Distinguish between right issue and public offering. 99% [Ans : Page No 426; Ques. No 5.15]**
[D.U. 2017 (Acc.); N.U. -2013, 2015, Acc- 2017; N. U. (Finance) 2017, 2020]
Or, Show the difference between right issue and public offering.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

○○○ 08. **Discuss the methods of selling share. 99% [Ans : 425 Page; Ques. No 5.14]**
[N.U. BBA(Hon's) Finance-2018, 2020]

○○ 09. State the conditions of right issue. **[Ans : 425 Page 5.13 No.]** *-[N.U. 2021 (Finance)]*

○○○ 10. Mention any four features of preferred stock. **[Ans : 427 Page 5.18 No.]**
Or, Discuss the features of preferred stock. *[N.U. Acc- 2017; 2021 (Finance)]*

○○○ (11) **Short Notes :**
(a) Angel capital 99% [Ans : 266 Page 2.39 No.] *[N.U. 2021 (Finance)]*
(b) Making a market 99% [Ans : 423 Page 5.04 No.] *[N.U. 2021 (Finance)]*
(c) Bond rating. 99% [Ans : 434 Page 5.43 No.] *[N.U. 2021 (Finance)]*
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

○○ 12. What is bond? Discuss the characteristics of bond. **[Ans : Page No 428; Ques. No 5.22+5.23]**
[N.U. (Finance) 2022]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

6. What are the differences between primary market and secondary market? **[Ans : Page No 602; Ques. No- 06]**
[N.U. (Finance) 2024]

12. (a) Write down the process of initial public offering. **[Ans : Page No 426; Ques. No 5.17]**
[টেস্ট পরীক্ষা- ইডেন, সা'দত, দনিয়া বিশ্ব, যশোর সিটি ও এডওয়ার্ড কলেজ; N.U. -2013, 2015, 2024 (Finance)]
Or, What are the processes of IPO in Bangladesh?
Or, Discuss the IPO process.
(b) Discuss the functions of BSEC. **[Ans : Page No 604; Ques. No 12 (b)]** *[N.U. (Finance) 2024]*

17. (a) What do you mean by bond refunding? **[Ans : Page No 433; Ques. No 5.41]**
Or, What is bond refunding? Discuss the process of bond refunding.
Or, What is bond refunding? Why is it done? [টেস্ট পরীক্ষা- ইডেন কলেজ; N.U. BBA (Hon's) 2011, 2014, 2015; (Finance) 2024]

Help Line ***Dear Students, In above Suggestions Part-B and Part-C 06, 06, 07, 08 & 11 No. Questions in are most important for the Examinee of 2025.*** ***..... Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

ooo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No–06**

Dr. Awal wishes to know how many shares are necessary to elect 4 directors out of the 11 directors up for the election in the MFC Ltd. There are 1,50,000 shares outstanding.

Solution : ব্যাংকিং ম্যানেজমেন্ট ব্যাকিং ইন্ডাস্ট্রিজ (৪র্থ খণ্ড) বইয়ের ৪৩৭ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Mgt. 2020 No–6; 2022 No–6**

X Ltd. is considering a rights offer. The company has determined that ex-rights price would be Tk. 74. Subscription price is Tk. 44. One new share of stock can be purchased for each five shares currently owned. You are required to calculate market price share.

Solution : ৪৩৭ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Mgt. 2019 No– 08**

Mr. John has 10,000 equity shares of a company. Recently the company declared a right offering which 5,000 new shares to be issued at Tk. 10 each. At present the company has 1,00,000 shares in market at Tk. 50 per share. How many shares will be able to purchase by Mr. John under propose right offer?

Solution : ৪৩৮ পৃষ্ঠার **Problem-05** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

XX **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–17(b)**

A election is going to be held to fill two seats on the board of directors of XYZ Company Ltd. The company has total 1,00,000 shares outstanding. Mr. Salman who owns 20,000 shares wants to elect himself a director on the board. Under cumulative voting system, how many additional shares should be purchased by him to elect himself as a director?

Solution : ৬০৮ পৃষ্ঠার **Question No-17(b)** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–7**

The Golden Co. Ltd. at present has 1,00,000 shares outstanding selling at Tk. 80 per share. The company is thinking to raise Tk. 12,50,000 by issuing right shares at Tk. 50 per share. Calculate the value of a right when it goes on right.

Solution : ৪৪০ পৃষ্ঠার **Problem-09** নং প্রশ্নের উত্তর দেখুন।

oo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–5**

TCS has outstanding shares of 5 million with current price of Tk. 100 each. The company wants to raise fund by Tk. 70 million and the subscription price is Tk. 70 each. Find out–

(a) Number of shares needed to required fund.

(b) How many rights will take to buy one share?

(c) What is the ex-right price?

Solution : ৪৪২ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

Problem-07 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–5**

Acme company's current share price is Tk. 50. The company announces a 1 : 4 right issue at a price of Tk. 40. For every 4 existing shares, shareholders can buy 1 additional share at Tk. 40.

Required :

(a) Calculate the Theoretical Ex-Rights Price (TERP).
(b) Calculate the value of right.
(c) Should a shareholder exercise the right? .

Solution : ৬০১ পৃষ্ঠার **Question No-5** নং প্রশ্নের উত্তর দেখুন।

Problem-08 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2016 No–14; 2020 No–05**

Hilary Inc. is proposing a rights offering. Presently they have 2,40,000 shares outstanding at Tk. 80 each. There will be 60,000 new shares offered at Tk. 60 each.

Required :

(a) What is the new market value of the company?
(b) How many rights needed to purchase one new share?
(c) What is the ex-right price?
(d) What is the value of a right?
(e) Why might a company have a right offerings rather than a general cash offer?

Solution : ৪৪৪ পৃষ্ঠার **Problem-16** নং প্রশ্নের উত্তর দেখুন।

Problem-09 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2016 No–14**

Saniat corporation is planning to market a new product. To finance the venture is proposed to make a right issue at Tk. 10 of one new share for each two shares held. The company currently has outstanding 1,00,000 shares priced at Tk. 40 per share. Assuming that the new money is invested to earn a fair return, find the values for the following :

(i) Number of new issued shares.
(ii) Number of rights needed to buy one share.
(iii) Amount of new investment.
(iv) Total value of the company after issue.
(v) Total number of shares after issue.

Solution : ৪৪৮ পৃষ্ঠার **Problem-22** নং প্রশ্নের উত্তর দেখুন।

Problem-10 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2022 No–17**

Pantene Group is planning to introduce their products to the customers. To finance this project they make a new issue at Tk. 15 of new share for each 5 shares held. The company currently has 2,55,000 shares at Tk. 30 each.

Calculate :

(a) Number of new shares.
(b) Amount of new investment.
(c) Total value of firm after issues.
(d) Number of share after issue.
(e) Stock price after issue.

Solution : ৪৪৯ পৃষ্ঠার **Problem-23** নং প্রশ্নের উত্তর দেখুন।।

Problem-11 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–12**

The Bd Ltd. has 9,00,000 shares outstanding at current market price of Tk. 130 per share. The company needs Tk. 2,25,00,000 to finance proposed modernization of project. The board of the company has decided to issue right share to raising required fund. The subscription price has been fixed at Tk. 75 per share. The subscription price has been set below the market price to ensure the right issue in fully subscribed.

(a) How many new share must be issue to raise fund?
(b) How many right required to purchase a new share?
(c) What is ex-right price?
(d) What is the value of right?
(e) What is right on price?

Solution : ৪৪৭ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০ **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2021 No–14**

Messi owns five shares of a company. The market value of each share is Tk. 60. Messi also have Tk. 48 in cash. He has just received a word of a right offering. One new share of stock can be purchased at Tk. 48 for each five shares currently owned (based on five rights).

(a) What is the value of right?
(b) What is the value of Messi's portfolio before right offering?
(c) What is the value of Messi's portfolio if he participate in the right offering?
(d) What is the value of Messi's portfolio if he sales his right?
(e) What is the value of Messi's portfolio if he does not excercise his right.

Solution : ৪৫৩ পৃষ্ঠার **Problem-28** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No–14; 4th Management 2021 No–14**

Consolidated Jewels needs to raise Tk. 2 million to pay for its diamonds in the Rough company. It will raise the funds by offering 2,00,000 rights, each of which entitles the owner to buy one new share. The company currently has outstanding 1 million shares priced at Tk. 20 each.

(a) What must be the subscription price on the rights the company plans to offer?
(b) What will be the share price after the rights issue?
(c) What will be the value of right to buy one share?
(d) How many rights would be issued to an investor who currently owns 1;000 shares?
(e) Show that the investor who currently holds 1,000 shares is unaffected by the right issue. Specifically, show that the value of the right plus the value of the 1,000 shares after the rights issue equals the value of the 1,000 shares before the rights issue.

Solution : ৪৫৬ পৃষ্ঠার **Problem-31** নং প্রশ্নের উত্তর দেখুন।

Chapter 06 Lease Financing

(ইজারা অর্থায়ন)

Part-A (Brief Questions) :

০০০ 01 **What is lease financing? (ইজারা অর্থায়ন কী?)** 99%

[N.U. -Old-2012; -2018, 2021 (Acc 3rd); (Finance 3rd)- 2018; (Mgt 4th)-2020]

Ans : Lease financing is the process by which a firm can obtain the use of certain fixed assets for which it must make a series of contractual, periodic, tax deductible payments.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। –সম্পাদক]

02. What is operating lease? (পরিচালন ইজারা কী?) [২০২৪ সালে যা এসেছিল]

[N.U. 2013; Acc 3rd- 2017; 2024 (Finance 3rd)]

Ans : Operating lease is short-term lease used to finance asset and is not fully amortized over the life of the asset.

০০০ 03. **What is international lease?** *[N.U. 4th Mgt-2018]*

Ans : An international lease refers to a type of lease agreement where one or more parties are located or domiciled in different countries.

০০০ 04. **What is financial lease? (আর্থিক ইজারা কী?)** 99%

[N.U. 2016]

Ans : Financial lease is the lease used in connection with long-term assets and amortize the entire cost of the asset over the life of lease.

০০০ 05 **What is direct lease? (প্রত্যক্ষ ইজারা কী?)** 99%

[N.U. (Finance 3rd)2017]

Ans : When the lease belongs to the owner of the assets and users of the assets with direct relationship it is called as direct lease.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। –সম্পাদক]

০০০ 06. **What is sale and lease back? (বিক্রয় ও ইজারা গ্রহণ কী?)** 99% *[N.U.2014, 2015; 2016 (Finance 3rd)]*

Ans : Under the sale and lease back arrangement, the firm sells an asset that it owns and then leases to same asset back from the buyer.

ooo (07) What is leveraged leasing? 99%

[N.U. 2023 (Finance 3rd)]

Ans : Leveraged lease is the same as the direct lease, expect that a third party, the lender is involved in addition to the lessee to lessor.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 08. What is lease? *[N.U. 2014]*

Ans : Lease is a contract between a lessors, (the owner of the assets) and a lessee (the user of the assets).

oo 09. Who is lessee? (ইজারা গ্রহীতা কে?)

Ans : Lessee is the receiver of the service of the assets under a lease contract. Lease assets may be firms or companies.

ooo 10. What is residual value? *[N. U. (Mgt 4th)-2019]*

Ans : The value of a leased asset at the end of the lease period is called residual value.

ooo 11. What is lease rental? *[N.U. (Mgt 4th) -2017]*

Ans : The lesses pays to the lessor for the lease transaction is the lease rental.

ooo 12. What is the formula to calculate loan installment at the beginning of the year?

[N.U. (Mgt 4th) -2017]

Ans : $A = \frac{Pv \times i}{\left\{1 - \frac{1}{(1+i)^n}(1+i)\right\}}$

i = Interest rate

n = No. of years

oo 13. What is hire purchase? *[N.U. 2013]*

Ans : Hire purchaser is an arrangement for buying expensive consumer goods, where the buyer makes an initial down payment and pays the balance plus interest in installments.

ooo (14) What do you mean by capital lease? 99%

[N.U. 2021 (Finance 3rd)]

Ans : Capital lease is a relatively long-term lease and non-cancelable in nature.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

Part- B & C (Short & Broad Questions) :

ooo 01. Briefly explain the concept of lease financing. 99% *[N.U. 2021 (Finance)]*

[Ans : ফাইন্যান্স ব্যাংকিং ইন্সুরেন্স (৪র্থ খণ্ড) বইয়ের Page No 458; Ques. No 6.01]

Or, What is lease Financing?

ooo 02. Explain the impact of financial leasing on the cash-flow of a firm. **[Ans : 459 Page 6.04 No.]**

[টেস্ট পরীক্ষা- এমএম, রাজেন্দ্র, যশোর সিটি কলেজ; D.U. 2017 (Acc.); N.U. 2012]

ooo 03. (a) Discuss different methods of lease. **[Ans : 459 Page 6.05 No.]**

[টেস্ট পরীক্ষা- সিদ্ধেশ্বরী গার্লস, মনসুর আলি, সাতক্ষীরা সর, সিটি, বিএম, সিদ্ধেশ্বরী কলেজ; N.U. 2014]

(b) Distinguish between lease and purchase. **[Ans : 463 Page 6.18 No.]**

[টেস্ট পরীক্ষা- ইডেন, কবি নজরুল, মনসুর আলি, সাতক্ষীরা সর. সিটি কলেজ; N.U. 2014]

oo 04. Discuss the objectives of lease financing as organized in Bangladesh. **[Ans : 462 Page 6.14 No.]**

[টেস্ট পরীক্ষা বিএম, তোলারাম কলেজ; D.U. 2016 (Acc.); N.U: BBA(Hon's) 2008, 2010, (Acc)2018]

ooo (05) Discuss the types of lease. 99% [Ans : 458 Page 6.03 No.]

Or, Discuss the classification of lease. *[N.U. BBA (Hon's) (Acc)-2016; Finance-2019]*

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo 06. Mention the five disadvantages of lease financing. **[Ans : Page No 460; Ques. No 6.07]** *[N.U. 2020 (Finance)]*

ooo (07) State the features of operating lease. 99% [Ans : Page No 463; Ques. No 6.17]

Or, State the characteristics of operating lease. *[N.U. 2020, 2021 (Finance)]*

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo (08) What are the differences between operating lease and capital lease? 99%

[Ans : Page No 461; Ques. No 6.11] *[N.U. 2012, 2016 (Acc.); 2017, 2022 (Finance)]*

Or, Show the difference between financial lease and operating lease.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo 09. State the contents of lease contract. **99% [Ans : Page No 458; Ques. No 6.02]** *[N.U. 2023(Finance)]*

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 05, 07 & 08 No. Questions in are most important for the Examinee of 2025.*** *Editor*

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

ooo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No–14(b)**

Z Ltd. wishes to purchase an asset costing Tk. 2,00,000. The full amount needed to finance the asset can be borrowed at 14.75% interest. The terms of the loan require equal end of year payments for the next 5 years. Determine the total annual loan payment of the break it into the amount of interest of the amount of principal paid for each year.

Solution : বাজিতপুর মিলনায়তন ব্যাংকিং ইন্সটিটিউশন (৪র্থ খণ্ড) বইয়ের ৪৬৫ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2019 No– 08**

Cost of an asset is Tk. 25 lakh. A 6 years lease of the asset is proposed to yield 10% return to the lessor ignoring taxes. The salvage value is Tk. 1,00,000. Determine equal lease rental if payments are made quarterly.

Solution : ৪৬৬ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

XX **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–8**

BBC company takes a machine on a 5 year lease. The annual lease payment is Tk. 50,000 payable at the end of each year. The interest rate is 10% per annum. Calculate the present value of lease payments (PV of an annuity) using the present value factor table (PV-factor for 10%, 5 years = 3.791).

Solution : ৬০৩ পৃষ্ঠার **Question No-8** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2017 No–08**

Nissan Car Ltd. is faced with a decision to acquire on lease a mini car. The cost of mini car is Tk. 1,50.000. It has a life of 5 years. The leasing company desire a return of 10% on the gross value of the asset. Find out lease rental installment if-

(i) To be paid at the beginning of each year.

(ii) To be paid at the end of each year.

Solution : ৪৬৬ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2021 No–15**

Omega Ltd. needs to acquire a machine costing Tk. 7,00,000. The company follows straight line method of depreciation. The salvage value of the machine is estimated to be Tk. 50,000 at the end of 5 years. The company can borrow the required sum from a bank at 14% interest. The company can also acquire the machine by taking lease from a leasing company for annual rental of Tk. 1,50,000 to be paid in advance each year for 5 years. Which alternative should the company accept?

Solution : ৪৬৮ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 2012 No-14; 3rd Marketing 2016 No–15, 2019 No–15; Finance 2021 No–14(b)**

A company needs to acquire an equipment that will cost Tk. 3,35,200. The company has two alternatives to finance the requirement :

(i) To take lease from Z leasing Ltd for 5 years with an annual lease payment of Tk. 1,20,000 to be paid at the end of each year.

(ii) To take loan from Y bank Ltd. at 15% interest p.a. repayable annually at the end of each of the year in equal installments. The equipment will be depreciated on straight line basis. Corporate tax rate is 40% which offer the company should accept?

Solution : ৪৬৯ পৃষ্ঠার **Problem-08** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

⊗⊗ **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–15**

Alfa, a production oriented company, needs to install an equipment of Tk. 7,50,000. The company has two alternatives of financing :

(a) To take lease from 'MIDAS' for 6 years with an annual lease payment of Tk. 1,85,000 to be paid at the end of each year.

(b) To take loan from IFIC Bank Ltd at 14% interest payment payable annually at the end of each of the 6 years in equal installment. The equipment will be depreciated on straight basis. The corporate tax rate is 40%.

Which offer should the company accept?

Solution : ৬০৫ পৃষ্ঠার **Question No-15** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No–15**

A company needs to acquire an equipment that will cost Tk. 4,00,000. The company has two alternatives to finance the equipment :

(a) To take lease from a leasing company for 5 years with an annual lease payment of 1,25,000 to be paid at the beginning of each period.

(b) To take loan form AB Bank at 14% interest per annum repayable annually at the end of each of the 5 years in equal instalment. The salvage value of the equipment is Tk. 20,000 and the equipment will be depreciated on straight line basis. Corporate tax rate is 40%. Which offer the company should accept?

Solution : ৪৭০ পৃষ্ঠার **Problem-09** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No–15**

Mr. Saad is thinking of acquiring an equipment costing Tk. 15,00,000 and he has the choice of borrowing Tk. 15,00,000 at 15% to be repaid in 5 equal installment end of each year. It is assumed that the straight line method of depreciation is allowable under income straight line basis. The tax rate 40%. Which alternative is best for Mr. Saad?

Solution : ৪৭৫ পৃষ্ঠার **Problem-12** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2022 No–12**

Rojanigonda Builders Ltd. need to acquire the use of a crane for their construction business and are considering buying or lease a crane. The crane cost Tk. 10,00,000 and is subject to the straight line method of depreciation to a zero salvage value at the end of 5 years. In contrast the lease rent is Tk. 2,20,000 per year to be paid in advance each year for next 5 years. Rojanigonda Builders can raise debt at 12% interest payable in equal annual installments. Each installment due at the beginning of the each year. The Co. is in the 30% tax bracket. Govt. tax credit is considered by 5% on purchase the crane. Should it lease or buy the crane?

Solution : ৪৭৮ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

ooo (১১%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2009 ; 3rd (Accounting) 2020 No–15**

Mahi Co. Ltd/Rupali Ltd. needs to acquire a new machine costing Tk. 5,00,000. The company has got two alternative methods of financing :

(i) To take loan from NCC Bank @ 16% interest, payable at the end of each year in equal installment for four years;

(ii) To take lease from IDLC Ltd. for four years with an annual payment of Tk. 2,20,000 to be paid at the end of each year. Which alternative the company should accept? Assume a 35% corporate tax rate and straight line method of depreciation is applied.

Solution : ৪৮০ পৃষ্ঠার **Problem-16** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–16**

Padma Ltd. needs to invest in a van in order to distribute their product and have to choose between buying and leasing it. The van can be leased for a four years period at Tk. 4,00,000 per annum., The maintenance and service cost are estimated to be Tk. 70,000 each year. Padma Ltd. can buy the van for Tk. 12,00,000 and at the end of four years the van will be sold for Tk. 2,00,000. The company's cost of borrowing is 12%. Should Padma Ltd. buy or lease the van? Assume tax rate is 40%.

Solution : ৪৮৪ পৃষ্ঠার **Problem-19** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2016 No–13; 2023 No–16**

Mehrin is to decide whether a computer is to be purchased through 12% borrowing or to be aequired on lease rent basis. The price of the computer is Tk. 3,00,000. It's annual maintenance cost Tk. 25,000 per year and expected life is 5 years. Tax rate is 40% and straight line method of depreciation is allowable. The salvage value of the computer is Tk. 50,000. In case of leasing, annual lease rental is Tk. 1,00.000 for 5 equal annual installment including maintenance cost Tk. 25,000 and maintenance cost to be borne by lessor. If the installation is given at beginning of the year for both lease and buy option, which alternative is best for Mehrin?

Solution : ৪৮৯ পৃষ্ঠার **Problem-22** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–15**

Tahmina is thinking of acquiring a car. For that purpose she is to decide whether the car is to be purchased through 12% borrowing or to be acquired on lease rent basis. The price of car is Tk. 60,00,000. Its annual maintenance cost is Tk. 25,000 per year and expected life is 5 years. It is assumed that the straight line method of depreciation is allowable under income tax act and tax rate is 35%. The salvage value of the car is Tk. 1,00,000. In case of leasing, the lease rental is Tk. 20,00,000 for 5 equal annual installment (to be paid in advance) and maintenance expenses to be borne by lessor.

Which alternative is to be selected by Tahmina?

Solution : ৪৯১ পৃষ্ঠার **Problem-24** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2016 No–16**

XYZ limited wants to lease a computer system for the purpose of colour matching. The system will cost Tk. 30 lakh and has a 5 years of life time. The applicable written-down depreciation is 25% the annual rental is payable at the end of year for 5 years, will be Tk. 8.4 lakh. The lesser will maintain the computer system which will be Tk. 50,000 per year. At the end of its useful life, the system can be sold for 50% of its depreciated value. The company's borrowing rate is 14% and tax rate is 35%. Should the system be leased? Show your calculation.

Solution : ৪৯৩ পৃষ্ঠার **Problem-25** নং প্রশ্নের উত্তর দেখুন।

Chapter 07 Working Capital Management

(কার্যকরী/চলতি মূলধন ব্যবস্থাপনা)

Part-A (Brief Questions) :

ooo (01) **What is working capital? (চলতি মূলধন কী?)**

99% *[N.U. (Finance 3rd)-2017; D.U. (Acc)-2017]*

Ans : Working capital simply refers to the capital which is required to finance current assets.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। –সম্পাদক]

ooo 02. **Define gross working capital.**

[N.U. Acc 3rd-2019; 4th Mgt-2019]

Or, What is gross working capital?

(মোট চলতি মূলধন কী?)

Ans : Total amount invested in the current assets of a company is termed as gross working capital.

০০০ 03 **What is meant by net working capital?** 99%

[N.U. 2015; Acc 3rd 2017, 2018, 2021; (Finance 3rd) 2022, 2023]

Or, What is net working capital?

(নিট চলতি মূলধন কী?)

Ans : Net working capital refers to the difference between current assets and current liabilities.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 04. What is inventory conversion period? 99%

[N.U. (Finance 3rd)- 2022]

Ans : The inventory conversion period also known as the days inventory outstanding, is a financial metric that measures the average number of days it takes for a company to sell its inventory.

০০ 05. Define operating cycle.

[N.U. (Old)-2014; (Finance 3rd)-2018; 4th Mgt-2018; 2021 (Acc. 3rd)]

Or, What is operating cycle?

Ans. The time period between the requisition of inventory and the collection of cash from receivables is called operating cycle.

০০০ 06. What is permanent working capital?

(স্থায়ী চলতি মূলধন কী?) *[D.U. (Hon's)Acc-2017]*

Ans : Permanent working capital is similar to the firms fixed assets in two important aspects first the investment is long-term and second a firms fixed assets will need to increase overtime.

০০০ 07 **What is working capital cycle?** 99%

Ans. The working capital cycle measures the time between paying suppliers for goods and receiving cash from customers after selling those goods. *[N.U. (Finance 3rd)-2021]*

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 08. What is working capital management?

(চলতি মূলধন ব্যবস্থাপনা কী?) *[N.U. 2013]*

Ans : Working capital management is the management of current assets, current liabilities and the relationship between them.

০০ 09. What is spontaneous financing? (স্বতঃস্ফূর্ত অর্থায়ন কী?) *[N.U. Acc 3rd- 2018]*

Ans. Spontaneous financing consists of the trade credit and other accounts payable which arise "spontaneously" in the firm's day to day operations.

০০ 10. How much time required determining the term assets?

(মেয়াদি সম্পত্তি নির্ণয়ের সময়কাল কত?)

Ans : Long-term sources of fund have maturities longer than five years. Intermediate-term financing includes those sources of funds having maturities longer than one but less than five years. Short-term financing must be repaid within one year.

০০০ 11. Write down the name of five current assets. (পাঁচটি চলতি সম্পত্তির নাম লিখ।)

Ans : Cash, Short-term securities, Bill receivable, Note receivable, Prepaid expenses etc.

12. What do you mean by cash conversion cycle? [২০২৪ সালে যা এসেছিল] [N.U. 4th Acc-2015, 2018, Mgt-2018, Finance-2019, 2024; Acc 3rd-2018]

Or, What is cash conversion cycle (CCC)?

Ans : *The flow of cash from purchase of inventory to production, from production to sell of goods and collection of receivables and again purchase of raw material can be termed as the cash conversion cycle.*

০০ 13. Full form of CCC.

Ans : The full form of CCC is Cash Conversion Cycle.

০০০ 14. What is inventory turnover? *[N.U. 4th Mgt 2019]*

Ans : Inventory turnover is a ratio showing how many times a company has sold and replaced inventory during a given period.

০০০ 15. What is Economic Order Quantity (EOQ)? 99% *[N.U. (Finance 3rd)- 2016 ; Acc 3rd-2019]*

Or, What is EOQ?

Ans. The order size associated with minimized cost is called economic order quantity.

০০০ 16 **What is venture capital?** 99%

[N.U. (Finance 3rd)-2020, 2023]

Ans. Venture capital is the provision of risk-bearing capital, usually in the form of a participation in equity to companies with high growth potential.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 17. What is Lock Box system? 99%

[N.U. (Finance 3rd)-2020]

Ans. Lock box system is simply a post office box that your bank establishes for your business and that bank will control.

০০০ 18 **What is cost of liquidity?** 99%

[N.U. 2023 (Finance 3rd)]

Ans : A firm can't earn anything from the 'excess' amount of working capital. Thus the firm infact losses the or ost of liquidity..

[রকেট স্ উপরিউক্ত 99% প্রশ্নটি ১০০ -সম্পাদক]

Part- B & C (Short & Broad Questions) :

০০ 01.. What is working capital management? *[N.U. 4th 2013 (Acc.) Mgt-2018]*
[Ans : ব্যাংককলম মিনিমাম ব্যাংকিং ইন্ডাস্ট্রিজ (৪র্থ খণ্ড) বইয়ের 504 Page 7.23 No.]

০০০ 02. What are the objectives of working capital managament. **[Ans : 504 Page 7.24 No.]** *[N.U. 2015]*

০০ 03. Discuss different types of working capitlal in brief. **[Ans : 497 Page 7.04 No.]**
[টেস্ট পরীক্ষা- সিদ্ধেশ্বরী, মনসুর আলি, কুমিল্লা ভিক্টোরিয়া, সাতক্ষিরা সর. সিটি কলেজ; N.U. 2014, 2017 (Finance)]

০০ 04. Graphically explain the policies of working capital. **[Ans : 503 Page 7.18 No.]** *[N.U. (Acc.-2016; (Finance)-2016]*

০০০ 05. **Short Notes : Working capital cycle** 99% **[Ans : 501 Page 7.15 No.]** *[N. U. 2020, 2021 (Finance)]*

০০০ 06. Explain the aggressive policy approach of working capital management. **[Ans : 508 Page 7.37 No.]**
[টেস্ট পরীক্ষা- তিতুমীর, মনসুর আলি, ও সাতক্ষীরা সর. সিটি কলেজ; N.U. 2014, 2015]

০০০ (07) **What is re-order point? How it is determined?** 99% **[Ans : 506 Page 7.30 No.]** *[N. U. 2021 (Finance)]*
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

০০০ (08) **State the objectives of inventory management.** 99% **[Ans : 506 Page 7.29 No.]** *[N. U. 2021 (Finance)]*
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

০০০ 09. **What do you mean by cash cycle and cash conversion period? [Ans : Page No 500; Ques. No 7.10]** *[N. U. (Finance) 2022]*

০০০ 10. **What are difference between fixed capital and working capital?** 99% *[N. U. (Finance) 2022]*
[Ans : Page No 503; Ques. No 7.20]

০০০ (11) **Discuss the determinants of working capital.** 99% **[Ans : Page No 502; Ques. No 7.16]**
Or, Describe the determinants of working capital.
Or, Briefly discuss the common five factors that can be considered while estimating working capital requirements of a business firm. *[টেস্ট পরীক্ষা- কবি নজরুল, বিএম, ঢাকা, বিএম, এমএম, এডওয়ার্ড ও যশোর সিটি কলেজ; N.U. BBA(Hon's) 2006, 2009, 2011, 2013 (Old); 2018, 2019, 2021, 2022 (Finance) ; 4th Mgt-2018]*
Or, Discuss the factors affecting the level of working capital.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

9. *Discuss the importance of working capital in a firm.* **[Ans : Page No 498; Ques. No 7,07]** *[N. U. (Finance) 2024]*

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 07, 08 & 11 No. Questions in are most important for the Examinee of 2025. .... Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

০০০ **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–15(b)**
NK Ltd. has an inventory turnover of 10 times each year, an average collection period of 60 days and an average payment period of 46 day. Assuming a 360 day year. Find the firm's operating cycle of cash conversion cycle.

Solution : ব্যাংককলম মিনিমাম ব্যাংকিং ইন্ডাস্ট্রিজ (৪র্থ খণ্ড) বইয়ের ৫১২ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2016 No–07**
Following information are obtained from Nokshi traders :
(i) Debtors are collected after 45 days; Inventories average holding period 75 days and creditors payment period is 30 days.
(ii) Annual expenditure of the firm is Tk. 120 lakhs.
Required :
(a) Cash conversion cycle (CCC) and cash turnover ratio;
(b) Minimum amounts of cash to be maintained by the firm.

Solution : ৫১৪ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-03** ***Year Question & Solution*** ⊙ **D.U. BBA (Hon's) 3rd Acc. 2016 No–06; N.U. BBA (Hon's) 3rd (Acc.) 2020 No–09; 3rd (Finance) 2023 No–13**

You are supplied with the following information :

Inventory turnover 9 times, Accounts receivable collection period 45 days, Accounts payable payments period 30 days, Operating cycle of investment Tk. 25,00,000. A year of 360 days.

Calculate :

(a) Operating cycle;

(b) Cash conversion cycle;

(c) Minimum operating cash.

Solution : ৫১৫ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

০০১ (১১%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2019 No– 07**

Metro Co. has a policy of maintaining a minimum cash balance of Tk. 1,00,000. The standard deviation of the company's daily cash flows is Tk. 40,000. The annual interest rate is 15%. The transaction cost of buying on selling securities is Tk. 30 per transactions.

Required :

(a) Lower limit

(b) Upper limit

(c) Average cash balance

Solution : ৫১৭ পৃষ্ঠার **Problem-12** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2012 No–15; Acc. 2016 No–15**

Appex Ltd./Grameen Phone Ltd. estimated annual cash requirement is Tk. 30 Lakh; the annual interest rate of marketable securities is 10%. The transaction cost of marketable securities is Tk. 50 of each time of transfer.

Required :

(a) Calculate the optimum level of cash to be maintained.

(b) Number of times transactions should be executed in a year.

(c) Show the calculation of total cost of different levels of cash holdings.
(You can assume imaginary transaction size.)

Solution : ৫১৮ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

✗✗ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–16**

A manufacturing company has an expected use of materials 5,000 units of its certain production demand the next financial year. The cost of processing an order is Tk. 25, purchase price of raw materials is Tk. 5 per unit and carrying cost is 25% of its cost. Lead-time of an order is 5 days and the company would like to supply of 2 days uses. You are required to calculate :

(a) EOQ

(b) Re-order point

(c) Number of order

(d) Safety stock

(e) Average daily uses.

Solution : ৬০৭ পৃষ্ঠার **Question No-16** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No–17**

From the following information you working capital :

	Taka
Raw material	400 per unit
Direct labor	150 per unit
Overheads (excluding depreciation)	300 per unit
Total cost	850 per unit
Additional information :	
Selling price	1,000 per unit
Output	52,000 per units
Raw materials in store	average 4 weeks
Work-in-process (assumed 50% completion with full material consumption)	average 2 weeks
Finished goods in warehouse	average 4 weeks
Credit allowed by suppliers	average 4 weeks
Credit allowed to customers	average 8 weeks
Cash at bank is expected to be Tk. 50,000	
25% of purchases are made for cash.	

Assume that production is sustained at an even pace during the 52 weeks of the year. All sales are on credit basis.

Solution : ৫২৫ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2022 No–11**

From the following information by the cost accountant are as follows :

Particulars	Tk. (Per unit)
Raw material cost	100
Direct labour cost	40
Overhead cost	80
Total cost	220
Selling price	280
Profit	60

Other information's :

(i) Average raw material in stock 2 months.
(ii) Work-in-process one month.
(iii) Finished goods 2 months.
(iv) 40% sales are cash sales.
(v) Minimum cash balance Tk. 2,00,000.
(vi) Credit allowed to debtors 4 months.
(vii) Credit allowed to creditors 3 months.
(viii) Lag of payment in wages 1 month.
(ix) Lag of payment in overhead 2 month.

You are required to prepare working capital statements. The level of activity 1,00,000 units and 1,50,000 units.

Solution : ৫৩৪ পৃষ্ঠার **Problem-28** নং প্রশ্নের উত্তর দেখুন।

oo (৯৯%) **[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]**

oo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2019 No–15**

From the following information presented by a manufacturing company prepare a working capital requirement forecast statement for the next year :

Expected monthly sales 64,000 units at Tk 20 p.u. The anticipated ratios of cost to selling price are :

Raw materials	50%
Labour	30%

Budgeted overheads Tk. 40,000 per week. Overhead expenses included depreciation of Tk. 8,000 per week. Planned stock will include raw materials for Tk. 1,92,000 and 16,000 units of finished goods. Materials will stay in process for 2 week credit allowed to customers is 5 weeks, credit allowed by suppliers is 1 month. Lag in payment of overhead is 2 weeks. 25% of sales may be assumed against cash and cash in hand is expected to be Tk. 1,00,000. Assume that production is carried on evenly throughout the year and wages and overheads accrue similarly. A time period of 4 weeks is equivalent to a month.

Solution : ৫৩৫ পৃষ্ঠার **Problem-29** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2020 No–16**

As the financial manager of Omega Ltd. you are required to prepare a working capital requirement forecast for producing 30,000 units of products next year. The following informations are provided for the purpose:

Direct material cost per unit—Tk. 30

Direct labour cost per unit—Tk. 10

Overheads (100% of direct labour)

Profit is 20% of selling price.

Other information :

(i) Raw materials are expected to be in stock for an average of 30 days.

(ii) Processing time is 15 days.

(iii) Finished goods are expected to remain in the store for 45 days.

(iv) Credit allowed to debtors for 2 months and credit allowed by the creditors only for 1 month.

(v) Lag in payment of wages 15 days.

Solution : ৫৪০ পৃষ্ঠার **Problem-33** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No–17**

The following are the costs statement of ICT Ltd. :

Particulars	Amount of Tk.
Raw material cost	60 per unit
Direct labour cost	20
Overhead cost	40
Total cost	120
Profit	30
Selling price	150

There are some additional information given below :

(a) Average raw material in stock— 2 months

(b) Average raw material in process —1 month

(c) Stock of finished goods— 45 days

(d) Expected cash balance Tk. 5,00,000

(e) 40% sales are in cash basis and 60% sales in credit basis

(f) Credit allowed to debtors—2 months

(g) Credit allowed by creditors— 45 days

(h) Time lag in payments of wages—15 days

(i) Time lag of payments in overhead—1 month.

You are required to prepare a working capital requirement if level of activity is 1,00,000 units.

Solution : ৫৪১ পৃষ্ঠার **Problem-34** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–17**

You are supplied with the following information in respect of Royal Manufacturing Ltd. for the ensuing year :
Production of the year 69,000 units
Finished goods in store 3 months
Raw materials in store 2 months consumption
Credit allowed by creditors 2 months
Credit given to debtors 3 months
Selling price per unit Tk. 50
Raw material (per unit cost) 50% of selling price
Direct wages (per unit cost) 10% of selling price
Manufacturing and administrative overheads (per unit cost) 16% of selling price.
Selling overheads (per unit cost) 4% of selling price.
There is regular production and sales cycle and wages overheads accrue evenly. Wages are paid in the next month of accrual. Material is introduced in the beginning of the production cycle.
You are required to ascertain its working capital requirement.

Solution : ৫৪৪ পৃষ্ঠার **Problem-37** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2021 No–17**

One of your clients, Care Ltd. is about to commence a new business and finance has been provided for fixed assets. They have, however, asked you to advise the additional amount which they should make available for working capital.
They provide you with the following estimate for their first year and inform you that they have made an arrangement of overdraft limit with their banker of Tk. 1,50,000.

	Average period of credit	Estimate for the first year
Purchase of materials	6 weeks	Tk. 26,00,000
Wages	$1\frac{1}{2}$ weeks	19,50,000
Overheads :		
Rent etc.	6 months	1,00,000
Director's & Managers salaries	1 months	3,60,000
Traveller's and office salaries	2 weeks	4,55,000
Traveller's commission	3 months	2,00,000
Other overheads	2 months	6,00,000
Sales :		
Cash	—	1,40,000
Credit	7 weeks	65,00,000
Average amount of stocks and work-in-progress	—	3,00,000
Average amount of undrawn profit	—	3,10,000

Sales were made at an even rate for the year.
You are required to prepare from the above figures and information, a table for submission to your client, giving an estimate of the average amount of working capital which they should make available.

Solution : ৫৪৬ পৃষ্ঠার **Problem-38** নং প্রশ্নের উত্তর দেখুন।

গ্রন্থ সহায়ক : উপরিউক্ত সাজেশন্সের পূর্ণাঙ্গ উত্তরপত্র পেতে.....
ব্যাতিক্রম ফিন্যান্সিং ব্যাংকিং ইনভেস্টমেন্ট (৪র্থ খণ্ড) বইটি সংগ্রহ করুন।

জাতীয় বিশ্ববিদ্যালয়ের প্রশ্নাবলি ও উত্তরপত্র

Financial Management (In English); Subject Code : 232415

National University

[BBA Hon's 3rd year; Exam-2019 (Held on-25/02/2020)]

(Department of Finance & Banking)

Subject Name : Financial Management (In English)

Subject Code : 232415

Time : 4 hours; **Full marks :** 80

[N.B. Answer the questions from each group chronologically.]

Part-A

1. Answer any **ten** questions. $1 \times 10 = 10$

(a) What is agency problem?

Ans. The probability conflict of interest between the shareholders and management of a firm is known as agency problem.

(b) What is risk free rate of return?

Ans. Risk free rate of return is a return obtainable from default risk free government security.

(c) What is arbitrage process?

Ans. The arbitrage process is the purchase of securities whose prices are lower and sale of securities whose prices are higher, unrelated markets which are temporarily out of equilibrium.

(d) What is stock repurchase?

Ans. Stock repurchase is a program by which a company buys back its own shares from the marketplace' reducing the number of outstanding shares.

(e) What is flotation cost?

Ans. The costs associated with issuing securities such as underwriting' legal' listing' and printing fees are called flotation costs.

(f) What is underwriting?

Ans. Underwriting is the role of the investment bank is beating the risk of reselling at a profit the securities purchased from an issuing company at an agreed on price.

(g) What is corporate ethics?

Ans. Corporate ethics is a form of applied ethics or professional ethics, that examines ethical principles and moral or ethical problems that can arise, in a business environment.

(h) What is financial distress?

Ans. Financial distress is a term in corporate finance used to indicate a condition when promises to creditors of a company are broken or honored with difficulty.

(i) What is dividend payout ratio?

Ans. A dividend policy under which the firm attempts to pay out a certain percentage of earnings as a stated taka dividend and adjusts that dividend toward a target payout as proven earnings increases occurs.

(j) Elaborate BSEC.

Ans. BSEC = Bangladesh Securities and Exchange Commission.

(k) What is stock dividend?

Ans. Stock dividend is paid in the form of the company stock due to raising of more finance.

(l) What is cash conversion cycle?

Ans. The flow of cash from purchase of inventory to production, from production to sell of goods and collection of receivables and again purchase or raw material can be termed as the cash conversion cycle.

Part-B

[Answer any **five** questions.] 4 × 5 = 20

2. Briefly discuss the principles of financial management.
[Ans : [redacted] (৪র্থ খণ্ড) বইয়ের Page No. 238 Ques. No. 1.06]

3. Differentiate between certainty equivalent approach and risk-adjusted discount approach.
[Ans : Page No 263; Ques. No 2.31]

4. Delta Ltd. has an expected annual net operating income of Tk. 1,00,000 an equity capitalization rate of 10% and Tk. 5,00,000 of 6% debt. What will be the value and overall cost of capital of the firm under NI approach?
Solution : *Page No-337; Problem No- 02.*

5. TCS has outstanding shares of 5 million with current price of Tk. 100 each. The company wants to raise fund by Tk. 70 million and the subscription price is Tk. 70 each. Find out–
(a) Number of shares needed to required fund.
(b) How many rights will take to buy one share?
(c) What is the ex-right price? **Solution :** *Page No-442; Problem No- 13.*

6. Discuss the types of lease. *[Ans : Page No 458; Ques. No 6.03]*

7. Briefly discuss the factors that affect working capital. *[Ans : Page No 502; Ques. No 7.16]*

8. Bata Shoe Ltd. is evaluating a project with a beta of 1.50. The project has expected CFAT of Tk. 5,000 per year for four years, with an initial investment of Tk. 12,000. The risk-free rate is 8% and the market risk premium is 8%. You are required to determine whether the project should be accepted or rejected.
Solution : *Page No-276; Problem No- 13.*

9. Ruposhi Bangla Ltd. has an investment of Tk. 10,00,000 and the number of equity share is 10,000. The internal rate of return of the company is 16%, the capitalization rate of the company is 15%. You have to calculate the price of the share according to Walter's Model if the company pays (i) 30% and (ii) 20% of its earnings as dividend. **Solution :** *Page No-391; Problem No- 11.*

Part-C

[Answer any **five** questions.] 5 × 10 = 50

10. "Wealth maximization, not the profit maximization is the ultimate goal of a firm"– Explain.
[Ans : Page No. 246 Ques. No. 1.25]

11. The Babylon Corporation is evaluating two mutually exclusive projects, both of which require an initial outlay of Tk. 1,00,000. Each project has an expected life of five years. The probability distributions associated with the expected cash flows from each project are as follows :

Probability distribution for cash flow
Years 1–5 (the same cash flow each year)

Project A		Project B	
Probability	**Cash flow**	**Probability**	**Cash flow**
0.10	Tk. 35,000	0.10	Tk. 10,000
0.40	40,000	0.20	30,000
0.40	45,000	0.40	45,000
0.10	50,000	0.20	60,000
		0.10	80,000

The normal required rate of return for Babylon Corporation is 10%, but because these projects are riskier than most, it is requiring a higher than normal rate of return on them. Project A requires a 12% rate of return and Project B requires a 13% rate of return.

Requirement :
(i) Determine the expected value for each project's cash flow.
(ii) Determine each project's risk-adjusted net present value.
(iii) Which project should be selected and why? **Solution :** *Page No-281; Problem No- 20.*

12. Suppose a firm has an investment proposal, requiring an outlay of Tk. 2,00,000 at present. The investment proposal is expected to have 2 years economic life with no salvage value. In year 1, there is a 0.3 probability (30 percent chance) that CFAT will be Tk. 80,000; a 0.4 probability (40 percent chance) that CFAT will be Tk. 1,10,000 and a 0.3 probability (30 percent chance) that CFAT will be Tk. 1,50,000. In year 2, the CFAT possibilities depend on the CFAT that occurs in year 1. That is, the CFAT for the year 2 are conditional on CFAT for the year 1. Accordingly, the probabilities assigned with the CFAT of the year 2 are conditional probabilities. The estimated conditional CFAT and their associated conditional possibilities are as follows :

Year 1	If $CFAT_1$ = 80,000		If $CFAT_1$ = 1,10,000		If $CFAT_1$ = 1,50,000	
Year 2	$CFAT_2$	Probabilities	$CFAT_2$	Probabilities	$CFAT_2$	Probabilities
	Tk. 40,000	0.20	Tk. 1,30,000	0.30	Tk. 1,60,000	0.10
	Tk. 1,00,000	0.60	Tk. 1,50,000	0.40	Tk. 2,00,000	0.80
	Tk. 1,50,000	0.20	Tk. 1,60,000	0.30	Tk. 2,40,000	0.10

Advise the firm regarding the financial feasibility of the investment proposal. **Solution :** *Page No-304; Problem No- 42.*

13. Following information are available for Alpha Ltd.

Particulars	'U' Firm	'L' Firm
EBIT	Tk. 2,50,000	Tk. 2,50,000
10% Debt	–	8,00,000
k_{eu}	15%	–
Corporate tax rate	40%	40%
Personal tax rate	10%	10%

Requirements :

(a) Value of unleveled firm.
(b) Value of levered firm.
(c) Gain from leverage.
(d) Cost of equity of unleveled firm.
(e) Cost of equity of levered firm. **Solution :** *Page No-353; Problem No- 27.*

14. KIA Motors has an investment of Tk. 20 crore and 20 lakh equity shares. The face value of common share is Tk. 100 each. The company's cost of capital is 12%. The company also has an investment opportunity of Tk. 20 crore and makes a profit of Tk. 8 crore. If the company last year paid Tk. 10 as dividend of its shareholders, calculate the following values according to M-M hypothesis :
    (a) What will be the market value of share at the end of year?
    (b) How many shares must be issued for new financing?
    (c) What will be the value of the firm–
    (i) When dividend is paid?
    (ii) When dividend is not paid? **Solution :** *Page No-416; Problem No- 36.*
15. (a). Discuss the features of common stock capital. *[Ans : Page No 428; Ques. No 5.25]*
    (b) Why preference share is labelled as hybrid security? *[Ans : Page No 430; Ques. No 5.30]*
16. Padma Ltd. needs to invest in a van in order to distribute their product and have to choose between buying and leasing it. The van can be leased for a four years period at Tk. 4,00,000 per annum. The maintenance and service cost are estimated to be Tk. 70,000 each year. Padma Ltd. can buy the van for Tk. 12,00,000 and at the end of four years the van will be sold for Tk. 2,00,000. The company's cost of borrowing is 12%. Should Padma Ltd. buy or lease the van? Assume tax rate is 40%. **Solution :** *Page No-484; Problem No- 19.*
17. You are supplied with the following information in respect of Royal Manufacturing Ltd. for the ensuing year :

Production of the year 69,000 units
Finished goods in store 3 months
Raw materials in store 2 months consumption
Credit allowed by creditors 2 months
Credit given to debtors 3 months
Selling price per unit Tk. 50
Raw material (per unit cost) 50% of selling price
Direct wages (per unit cost) 10% of selling price
Manufacturing and administrative overheads (per unit cost) 16% of selling price.
Selling overheads (per unit cost) 4% of selling price.
There is regular production and sales cycle and wages overheads accrue evenly. Wages are paid in the next month of accrual. Material is introduced in the beginning of the production cycle.
You are required to ascertain its working capital requirement. **Solution :** *Page No-544; Problem No- 37.*

National University

[BBA Hon's 3rd year; Exam-2020 (Held on-02/04/2022)]

(Department of Finance & Banking)

Subject Name : Financial Management (In English)

Subject Code : 232415

Time : 4 hours; **Full marks :** 80

[N.B. Answer the questions from each group chronologically.]

Group-A

1. Answer any **ten** questions. $1 \times 10 = 10$

(a) What is financial management?

Ans. Financial management means planning, organizing, directing and controlling the financial activities such as procurement and utilizaton of funds of the enterprise.

(b) What is financial market?

Ans. A financial market is a mechanism for bringing together buyers and sellers of financial assets.

(c) What is risk adjusted discount rate?

Ans. Risk adjusted discount rate is the discount rate that reflects the risk of a particular capital budgeting project.

(d) What is CAPM?

Ans. The capital assets pricing model is a model that describes the relationship between the expected return and risk of investing in a security.

(e) What is right share?

Ans. The equity shares purchased by the existing shareholders under the pre-emptive right is termed as right share.

(f) What is financial structure?

Ans. The financial structure of a firm means the total of all liabilities and ownership claims the sum of what is usually the credit side of the balance sheet.

(g) What is trade of model?

Ans. A trade off model is a clearly defined. Step by step rule based structure for governing trading activities.

(h) What do you mean by stable dividend policy?

Ans. Stable dividend policy means payment of certain minimum amount of dividend regulary irrespective in the time of firms profit and loss.

(i) What do you mean by systematic risk?

Ans. Systematic risk refers to the risk inherent to the entire market or market segment.

(j) What are the two components of return?

Ans. Two components of return are income, which includes interest payments on fixed income investment, and dividends from stocks that an investor receives.

(k) What is venture capital?

Ans. Venture capital is the provision of risk-bearning capital, usually in the form of a participation in equity to companies with high growth potential.

(l) What is Lock Box system?

Ans. Lock box system is simply a post office box that your bank establishes for your business and that bank will control.

Group-B

[Answer any **five** questions.] $4 \times 5 = 20$

2. Why is wealth maximization the ultimate objective of a business firm? Explain.

[Ans : [redacted] (৪র্থ খণ্ড) বইয়ের **Page No. 246 Ques. No. 1.25]**

3. Briefly explain the concept of capital structure with example. ***[Ans : Page No 325; Ques. No 3.01]***
4. Distinguish between right issue and public offering. ***[Ans : Page No 426; Ques. No 5.15]***
5. State the effects of stock split. ***[Ans : Page No 380; Ques. No 4.18]***
6. State the characteristics of operating lease. ***[Ans : Page No 463; Ques. No 6.17]***
7. Explain the working capital cycle. ***[Ans : Page No 501; Ques. No 7.15]***
8. Narrate the three important decisions of financial management. ***[Ans : Page No 243; Ques. No 1.19]***
9. A company earns Tk. 20 per share at an internal rate of return is 15%. The firm has a policy of 40% earnings as dividend. If required rate of retum is 10%, determine the price of share according to Walter's model.

Solution : ***Page No-389; Problem No- 07.***

Group-C

[Answer any **five** questions.] $5 \times 10 = 50$

10. Describe the functions of financial manager. *[Ans : Page No. 250 Ques. No. 1.38]*
11. Discuss the methods of selling share. *[Ans : Page No 425; Ques. No 5.14]*
12. Explain the M-M theory of capital structure with example. *[Ans : Page No 330; Ques. No 3.17]*
13. The following are the probability distribution and return of two securities are given below :

Probability	Rate of return	
	A	B
$\frac{1}{3}$	0.09	– 0.10
$\frac{1}{3}$	– 0.06	0.05
$\frac{1}{3}$	0.20	0.09

Find out the portfolio return and portfolio standard deviation. Assume 60% invest in stock-A and 40% invest in stock-B. The covariance of security A and B is 0.90. **Solution :** *Page No-314; Problem No- 56.*

14. (a) Mention the five disadvantages of lease financing. *[Ans : Page No 460; Ques. No 6.07]*

    (b) Z Ltd. wishes to purchase an asset costing Tk. 2,00,000. The full amount needed to finance the asset can be borrowed at 14.75% interest. The terms of the loan require equal end of year payments for the next 5 years. Determine the total annual loan payment of the break it into the amount of interest of the amount of principal paid for each year. **Solution :** *Page No-465; Problem No- 01.*

15. The ACI Ltd. has the following capital structure :

Particulars	Taka
Common stock capital (Tk. 8 per share)	20,00,000
Additional paid in capital	16,00,000
Retained earnings	84,00,000
Total capital	1,20,00,000

The current market price per share is Tk.60. What will happen to account and to number of share outstanding with (i) 10% stock dividend (ii) 2 for 1 stock split (iii) 1 for 2 reverse stock split?

Solution : *Page No-409; Problem No- 30.*

16. ACI Ltd. currently has 10,00,000 shares outstanding at current market price of Tk. 120 per share. The company needs Tk. 2,00,00,000 for proposed project. The board of director of the company has decided to collect fund by issuing right share. The subscription price has been set at Tk. 70 per share.

    Calculate :

    (a) Number of new shares to be required to collect fund
    (b) Number of right
    (c) The price of share after right issue
    (d) The price of ex-right
    (e) The price of share under right on. **Solution :** *Page No-451; Problem No- 26.*

17. The following are the costs statement of ICT Ltd. :

Particulars	Amount of Tk.
Raw material cost	60 per unit
Direct labour cost	20
Overhead cost	40
Total cost	120
Profit	30
Selling price	150

There are some additional information given below :

(a) Average raw material in stock— 2 months
(b) Average raw material in process —1 month
(c) Stock of finished goods— 45 days
(d) Expected cash balance Tk. 5,00,000
(e) 40% sales are in cash basis and 60% sales in credit basis
(f) Credit allowed to debtors—2 months
(g) Credit allowed by creditors— 45 days
(h) Time lag in payments of wages—15 days
(i) Time lag of payments in overhead—1 month.

You are required to prepare a working capital requirement if level of activity is 1,00,000 units.

Solution : *Page No-541; Problem No- 34.*

National University

[BBA Hon's 3rd year; Exam-2021 (Held on-28/05/2023)]

(Department of Finance & Banking)

Subject Name : Financial Management (In English)

Subject Code : 232415

Time : 4 Hours; **Full Marks :** 80

[**N.B.** Different parts of each question answered chronologically.]

Part-A

1. Answer any **ten** questions. $1 \times 10 = 10$

(a) What do you mean by wealth maximization?

Ans. Wealth maximization means maximizing the net present value or wealth of a course of action to shareholders.

(b) Define risk in finance.

Ans. Financial risk refers to the additional risk placed on firm's shareholders as a result of debt use in financing.

(c) Does share price fall after right issue?

Ans. Yes, share price fall after right issue.

(d) What do you mean by capital lease?

Ans. Capital lease is a relatively long-term lease and non-cancelable in nature.

(e) What are two main types of dividends?

Ans. The main two types of dividends are– 1. Cash dividend & 2. Stock dividend.

(f) What is portfolio risk?

Ans. Portfolio revenues are known to be a portfolio risk.

(g) What is bond refunding?

Ans. Bond refunding is the paying off high-interest rate bond with new lower-interest bond.

(h) What do you mean by optimum capital structure?

Ans. Optimal capital structure is the capital structure that minimizes the firm's cost of capital and there by maximizes the value of the firm.

(i) What are two main types of dividend?

Ans. The main two types of dividends are– 1. Cash dividend & 2. Stock dividend.

(j) What is peaking order theory?

Ans. A hierarchy of financing that begins with retained earnings, which is followed by debt financing and finally external equity financing.

(k) Define IPO.

Ans. When a company issues ordinary share to the public for the first time then it is known as initial public offering.

(l) What is working capital cycle?

Ans. The working capital cycle measures the time between paying for goods supplied to you and the final receipt of cash to you from there sales.

Part-B

[Answer any **five** questions.] $4 \times 5 = 20$

2. State the features of operating lease.
[Ans : [redacted] (৪র্থ খণ্ড) বইয়ের Page No. 463 Ques. No. 6.17]
3. What do you mean by agency problem? Briefly explain with example. *[Ans : Page No 244; Ques. No 1.22]*
4. State the factors determining the capital structure. *[Ans : Page No 331; Ques. No 3.22]*
5. State the conditions of right issue. *[Ans : Page No 425; Ques. No 5.13]*
6. Mention any four features of preferred stock. *[Ans : Page No 427; Ques. No 5.18]*
7. State the objectives of inventory management. *[Ans : Page No 506; Ques. No 7.29]*
8. What is re-order point? How it is determined? *[Ans : Page No 506; Ques. No 7.30]*
9. Assuming cost of equity is 11%, rate of return on investment is 13% and earnings per share is Tk. 16. Calculate price of share using Gordon model, if dividend payout ratio is 9.00%. **Solution :** *Page No-393; Problem No- 13.*

Part-C

[Answer any **five** questions.] $5 \times 10 = 50$

10. (a) State the importance of financial management. *[Ans : Page No. 241 Ques. No. 1.14]*
(b) State the factors that influence financial decisions. *[Ans : Page No 251; Ques. No 1.41]*
11. There are two firms. The risk free rate of return is 6% and market rate of return 10%. The expected cash flow and certain equivalent co-efficient for two firms are given below:

Year	Firm-A		Firm-B	
	Cash flow	Certain equivalent factor	Cash flow	Certain equivalent factor
0	Tk. 3,00,000	1.0	Tk. 3,00,000	1.0
1	80,000	0.95	1,40,000	0.70
2	90,000	0.85	1,30,000	0.75
3	1,10,000	0.80	1,20,000	0.80
4	1,30,000	0.75	1,10,000	0.85
5	1,40,000	0.70	1,00,000	0.90
	Risk index	1.0	Risk index	1.50

You are require to determine :
(a) Calculate NPV ignoring risk factor, Assuming cost of capital 10%.
(b) Calculate NPV to evaluate the project using certain equivalent factor.
(c) Calculate NPV to evaluate the project using risk adjusted discount rate to account for the risk.
(d) Compare and contrast and explain your finding. **Solution :** *Page No-282; Problem No- 21.*

12. There are two companies. Company U and L. U denotes unlevered firm and L denotes levered firm. The company L has Tk. 60,00,000 debt at 9% annual rate of interest. Assume that all of the M-M assumptions are met. Corporate tax 40%. Expected EBIT is Tk. 2,50,000. The cost of equity to company U is 15%.
Calculate :
(a) Value of the firm L and U
(b) The cost of equity of U firm
(c) Market value of share of L firm
(d) Cost of equity of L firm
(e) WACC of U firm
(f) WACC of L firm. **Solution :** *Page No-348; Problem No- 22.*

13. The Alpha Ltd shareholders equity account of December 31, 2022 is as follows :

Particulars	Amount Tk.
Common stock capital (Tk. 5 par value, 10,00,000 shares)	50,00,000
Additional paid in capital	50,00,000
Retained earnings	1,50,00,000
Total shareholders equity	2,50,00,000

Currently the company is under pressure from shareholders to pay some dividends. Company's [illegible] is Tk. 1,50,000 all of which is needed for transaction purpose. The current market price of sha[illegible]

Requirements :

(a) Reformulate the shareholders equity account if 15% stock dividend paid.
(b) Reformulate the shareholders equity account if the company pay a 25% stock dividend.
(c) Reformulate the shareholders account if the company declares a 2 for 4 stock split.

Solution : *Page No-411; Problem No- 31.*

14. (a) Briefly explain the concept of lease financing. *[Ans : Page No 458; Ques. No 6.01]*

(b) A company needs to acquire an equipment that will cost Tk. 3,35,200. The company has two alternatives to finance the requirement –

(i) To take lease from Z leasing Ltd for 5 years with an annual lease payment of Tk. 1,20,000 to be paid at the end of each year.

(ii) To take loan from Y bank Ltd. at 15% interest p.a. repayable annually at the end of each of the year in equal installments. The equipment will be depreciated on straight line basis. Corporate tax rate is 40% which offer the company should accept? **Solution :** *Page No-469; Problem No- 08.*

15. (a) Briefly discuss the common five factors that can be considered while estimating working capital requirements of a business firm. *[Ans : Page No 502; Ques. No 7.16]*

(b) NK Ltd. has an inventory turnover of 10 times each year, an average collection period of 60 days and an average payment period of 46 day. Assuming a 360 day year. Find the firm's operating cycle of cash conversion cycle. **Solution :** *Page No-512; Problem No- 04.*

16. Stock X and Y have the following probability distributions of expected return:

Probabilities	Rate of return	
	X	Y
0.10	– 10%	– 35%
0.20	2%	0%
0.40	12%	20%
0.20	20%	25%
0.10	38%	45%

An investor seek your opinion as to which stock he should invest his money in, which stock would you recommended that investor do buy? Explain. **Solution :** *Page No-310; Problem No- 51.*

17. Short Notes (Any five) :

(a) Corporate social responsibilities; *[Ans : Page No 242; Ques. No 1.16]*
(b) NOI approach; *[Ans : Page No 329; Ques. No 3.14]*
(c) Working capital cycle; *[Ans : Page No 501; Ques. No 7.15]*
(d) Risk sensitivity analysis; *[Ans : Page No 264; Ques. No 2.34]*
(e) Angel capital; *[Ans : Page No 266; Ques. No 2.39]*
(f) Making a market; *[Ans : Page No 423; Ques. No 5.04]*
(g) Trade off model *[Ans : Page No 265; Ques. No 2.38]*
(h) Bond rating. *[Ans : Page No 434; Ques. No 5.43]*

National University

[BBA (Hon's) 3rd year; Exam-2022 (Held-16/05/2024)]
(Department of Finance & Banking)
Subject Name : Financial Management (In English)
Subject Code : 232415
Time : 4 hours; **Full Marks :** 80
[N. B. Answer different questions from each group sequentially.**]**

Group-A

1. Answer any **ten** questions. Mark— 1 × 10 = 10

(a) What is business risk?
Ans : Business risk refers to the risk associated with the firm's operations. Its impact is shown in the variability of firm's operating income (EBIT)

(b) What is arbitrage?
Ans : Arbitrage means finding two assets that are essentially the same, buying the cheaper and selling the more expensive.

(c) What is characteristics of financial market?
Ans : The characteristics of financial market is transaction of financial assets.

(d) What is pre-emptive right?
Ans : The privilege of shareholders to maintain their proportional company ownership by purchasing a proportionate share of any new issue of common stock, or securities convertible into common stock.

(e) What is stock split?
Ans : When a company increases its number of equity shares by reducing the face value of its share than it is known as stock split.

(f) What is retention ratio?
Ans : The part or percentage of the net earnings that is retained is known as retention ratio.

(g) What is capital rationing?
Ans : Capital rationing refers to the choice of investment proposals under financial constraints in terms of a given size of capital.

(h) What is inventory conversion period?
Ans : The inventory conversion period also known as the days inventory outstanding, is a financial metric that measures the average number of days it takes for a company to sell its inventory.

(i) What is leverage?
Ans : The use of fixed cost assets or fund in an attempt to increase profitability is called leverage.

(j) What is net working capital?
Ans : Net working capital refers to the difference between current assets and current liabilities.

(k) What is EPS?
Ans : Earning Per Share (EPS) is an important financial measure, which indicates the profitability of a company. It is calculated by dividing the companies net income with its total number of outstanding shares.

(l) What is social responsibility?
Ans : Social responsibility refers to the betterment of different interested group within a society.

Group-B

[Answer any **five** questions.] Marks—$4 \times 5 = 20$

2. What are the functions of financial manager?
[Ans : [redacted] (৪র্থ খণ্ড) বইয়ের Page No. 250 Ques. No. 1.38]
3. What are the difference between business risk and financial risk? ***[Ans : Page No 262; Ques. No 2.38]***
4. A project costing Tk. 5,00,000 and it has cash flows of Tk. 3,00,000, Tk. 2,00,000, Tk. 1,00,000 and Tk. 80,000 in year 1 through 4. Assume that associated α (Alpha) factors are determined to be: $\alpha_0 = 1{\cdot}00$, $\alpha_1 = 0{\cdot}90$, $\alpha_2 = 0{\cdot}70$, $\alpha_3 = 0{\cdot}50$ and $\alpha_4 = 0{\cdot}30$. The risk free rate is 10%.
What will be the net present value of the project? **Solution :** ***Page No-277; Problem No- 14.***
5. What are the differences between operating lease and financing lease? ***[Ans : Page No 461; Ques. No 6.11]***
6. The earning per share of a company are Tk. 10. If has an internal rate of return of 15% and capitalization rate of risk class is 12·5%. It Walters model is used—
(i) What should be the optimum payout ratio of the firm?
(ii) What should be the price of the share at this payout ratio? **Solution :** ***Page No-391; Problem No- 10.***
7. What is bond? Discuss the characteristics of bond. ***[Ans : Page No 428; Ques. No 5.22+5.23]***
8. What do you mean by cash cycle and cash conversion period? ***[Ans : Page No 500; Ques. No 7.10]***
9. What is the difference between systematic risk and unsystematic risk? ***[Ans : Page No 262; Ques. No 2.29]***

Group-C

[Answer any **five** questions.] Marks—$10 \times 5 = 50$

10. Two projects have the following cash flow :

Period	A-CFAT	B-CFAT
0	1,00,000	1,00,000
1	50,000	50,000
2	50,000	-
3	50,000	-
4	50,000	1,80,000

Salvage value end of 4 year for both project is Tk. 5,000.
Calculate :
(i) Pay back period for both projects.
(ii) Determine the IRR of each projects.
(iii) Which project should be selected? **Solution :** ***Page No-295; Problem 34***

11. From the following information by the cost accountant are as follows :

Particulars	Tk. (Per unit)
Raw material cost	100
Direct labour cost	40
Overhead cost	80
Total cost	220
Selling price	280
Profit	60

Other information's :

(i) Average raw material in stock 2 months.
(ii) Work-in-process one month.
(iii) Finished goods 2 months.
(iv) 40% sales are cash sales.
(v) Minimum cash balance Tk. 2,00,000.
(vi) Credit allowed to debtors 4 months.
(vii) Credit allowed to creditors 3 months.
(viii) Lag of payment in wages 1 month.
(ix) Lag of payment in overhead 2 month.

You are required to prepare working capital statements. The level of activity 1,00,000 units and 1,50,000 units.

Solution : *Page No-534; Problem No- 28.*

12. Rojanigonda Builders Ltd. need to acquire the use of a crane for their construction business and are considering buying or lease a crane. The crane cost Tk. 10,00,000 and is subject to the straight line method of depreciation to a zero salvage value at the end of 5 years. In contrast the lease rent is Tk. 2,20,000 per year to be paid in advance each year for next 5 years. Rojanigonda Builders can raise debt at 12% interest payable in equal annual installments. Each installment due at the beginning of the each year. The Co. is in the 30% tax bracket. Govt. tax credit is considered by 5% on purchase the crane. Should it lease or buy the crane?

Solution : *Page No-478; Problem No- 14.*

13. (a) Describe the determinants of working capital. *[Ans : Page No 502; Ques. No 7.16]*
(b) What are difference between fixed capital and working capital? *[Ans : Page No 503; Ques. No 7.20]*

14. The company has made the following estimated with the investment proposal. The company intends to use decision tree approach. The initial investment is Tk. 4,00,000. The cost of capital is 15% and expected life of the project is 2 years. The other information is given below :

$CFAT_1$	Probability	$CFAT_1$	Probability	$CFAT_1$	Probability
1,60,000	0·40	2,20,000	0·40	3,00,000	0·20
$CFAT_2$	Probability	$CFAT_2$	Probability	$CFAT_2$	Probability
1,00,000	0·20	2,60,000	0·40	3,50,000	0·30
2,00,000	0·30	3,20,000	0·30	4,20,000	0·50
3,20,000	0·50	3,50,000	0·30	5,00,000	0·20
	1·00		1·00		1·00

Solution : *Page No-305; Problem No- 43.*

15. The capital structure of Meghna Oil Ltd. is as follows :

Common stock capital (40,000 shares Tk. 100 each)	Tk. 40,00,000
12% debenture	Tk. 10,00,000
Total capital	Tk. 50,00,000

The company's planning to expand its total capacity that will required additional capital of Tk. 20,00,000, there are three alternative methods of financing :

(i) Issuing 12% debenture
(ii) Issuing 14% preferred stock
(iii) Issuing common stock at Tk. 100 each.

The expected earning before interest and taxes (EBIT) is Tk. 15,00,000. Corporate tax rate is 40%. You are required to calculate earning per share under different methods of financing. Recommend which alternative is best and why. **Solution :** *Page No-367; Problem No- 42.*

16. A company belong to a risk class for which the approximate capitalization rate is 10%. It currently has outstanding 25,000 shares selling at Tk. 100 each. The firm is contemplating the declaration of a dividend of Tk. 5 per share at the end of the current financial year. It expects to have a net income of Tk. 2,50,000 and has a proposal for making new investments of Tk. 5,00,000. Show that under the M-M assumptions, the payment of dividend does not affect the value of the firm. **Solution :** *Page No-415; Problem No- 35.*
17. Pantene Group is planning to introduce their products to the customers. To finance this project they make a new issue at Tk. 15 of new share for each 5 shares held. The company currently has 2,55,000 shares at Tk. 30 each.
Calculate :
(a) Number of new shares.
(b) Amount of new investment.
(c) Total value of firm after issues.
(d) Number of share after issue.
(e) Stock price after issue. **Solution :** *Page No-449; Problem No- 23.*

National University

[BBA (Hon's) 3rd year; Exam-2023 (Held in-21/05/2025)]
(Department of Finance & Banking)
Subject Name : Financial Management (In English)
Subject Code : 232415
Time : 4 hours; **Full Marks :** 80
[N. B. Answer different questions from each group sequentially.]

Group-A

1. Answer any **ten** questions. Mark— $1 \times 10 = 10$

(a) What is financial management?
Ans : Financial management means planning, organizing, directing and controlling the financial activities such as procurement and utilizaton of funds of the enterprise.

(b) What is flotation cost?
Ans : The costs associated with issuing securities such as underwriting' legal' listing' and printing fees are called flotation costs.

(c) What is right issue?
Ans : A right issue is an issue of the rights to buy additional securities in a company made to the company's existing security holders.

(d) What is stock dividend?
Ans : Stock dividend is paid in the form of the company stock due to raising of more finance.

(e) What is net working capital?
Ans : Net working capital refers to the difference between current assets and current liabilities

(f) What is sensitivity analysis?
Ans : Sensitivity analysis indicates exactly how much NPV will change in response to given change in an input variable, other things held constant.

(g) What is bond indenture?
Ans : The bond indenture is the legal document, prepared by bond counsel, specifying the bond's financial and legal obligations.

(h) What is leveraged leasing?
Ans : Leveraged lease is the same as the direct lease, expect that a third party, the lender is involved in addition to the lessee to lesser.

(i) What is cost of liquidity?
Ans : A firm can't earn anything from the 'excess' amount of working capital. Thus the firm infact losses the opportunity cost of liquidity.

(j) What is agency conflict?
Ans : The probability conflict of interest between the shareholders and management of a firm is known as agency problem.

(k) What is venture capital?
Ans : Venture capital is the provision of risk-bearning capital, usually in the form of a participation in equity to companies with high growth potential.

(l) What is green shoe provision?
Ans : An option given to the underwriters to purchase additional number of shares is known as over allotment option or green shoe provision.

Group-B

[Answer any five questions.] Marks—4 × 5 = 20

2. What is a firm's fundamental, or intrinsic, value? Explain.
[Ans : [redacted] (৪র্থ খণ্ড) বইয়ের Page No. 252 Ques. No. 1.42]
3. Discuss the drawbacks of profit maximization. *[Ans : Page No 240; Ques. No 1.11]*
4. An investment project costs Tk. 15,100 and has annual cash flows of Tk. 3,900 for 6 years. What is the discounted payback period if the discount rate is 10 percent? **Solution :** *Page No-273; Problem No- 08.*
5. Explain the impact of a stock repurchase on a company's debt ratio? *[Ans : Page No 377; Ques. No 4.11]*
6. AAA Corporation has EBIT of Tk. 7,75,000 per year that is expected to continue in perpetuity. The unlevered cost of equity for the company is 12% and the corporate tax rate is 24%. The company also has a perpetual bond issue outstanding with a market value of Tk. 18,00,000.
What is the value of the company? **Solution :** *Page No-345; Problem No- 17.*
7. The Golden Co. Ltd. at present has 1,00,000 shares outstanding selling at Tk. 80 per share. The company is thinking to raise Tk. 12,50,000 by issuing right shares at Tk. 50 per share. Calculate the value of a right when it goes on right. **Solution :** *Page No-440; Problem No- 09.*
8. State the contents of lease contract. *[Ans : Page No 458; Ques. No 6.02]*
9. Discuss the determinants of working capital. *[Ans : Page No 502; Ques. No 7.16]*

Group-C

[Answer any five questions.] Marks—10 × 5 = 50

10. (a) What is liquidity risk? *[Ans : Page No. 264 Ques. No. 2.35]*
(b) Discuss the risk evaluation approaches of capital budgeting. *[Ans : Page No 264; Ques. No 2.36]*
11. Stock X and Y have the following probability distributions and expected future return :

Probability	Stock X	Stock Y
0.10	–10%	–30%
0.20	2	0
0.40	12	20
0.20	20	25
0.10	38	40

An investor seek your opinion as to which stock he/she should invest his/her money.
Solution : *Page No-311; Problem No- 52.*
12. The Bd Ltd. has 9,00,000 shares outstanding at current market price of Tk. 130 per share. The company needs Tk. 2,25,00,000 to finance proposed modernization of project. The board of the company has decided to issue right share to raising required fund. The subscription price has been fixed at Tk. 75 per share. The subscription price has been set below the market price to ensure the right issue in fully subscribed.
(a) How many new share must be issue to raise fund?
(b) How many right required to purchase a new share?
(c) What is ex-right price?
(d) What is the value of right?
(e) What is right on price? **Solution :** *Page No-447; Problem No- 21.*
13. You are supplied with the following information :
Inventory turnover 9 times, Accounts receivable collection period 45 days, Accounts payable payments period 30 days, Operating cycle of investment Tk. 25,00,000. A year of 360 days.
Calculate : (a) Operating cycle; (b) Cash conversion cycle; (c) Minimum operating cash.
Note : সমাধানকৃত অংকের সাথে 2022 সালের অংকটির পার্থক্য হলো investment. Req. (iii) সমাধানের সময় investment 20,00,000 এর পরিবর্তে 25,00,000 ধরে করলেই হবে।
Solution : *Page No-515; Problem No- 10.*
14. (a) "Risk-Return trade off is the basis of financial decisions"– Explain. *[Ans : Page No 268; Ques. No 2.49]*
(b) Show the difference between Certainty Equivalent (CE) and Risk Adjusted Discount Rate (RADR).
[Ans : Page No 263; Ques. No 2.31]

15. Tahmina is thinking of acquiring a car. For that purpose she is to decide whether the car is to be purchased through 12% borrowing or to be acquired on lease rent basis. The price of car is Tk. 60,00,000. Its annual maintenance cost is Tk. 25,000 per year and expected life is 5 years. It is assumed that the straight line method of depreciation is allowable under income tax act and tax rate is 35%. The salvage value of the car is Tk. 1,00,000. In case of leasing, the lease rental is Tk. 20,00,000 for 5 equal annual installment (to be paid in advance) and maintenance expenses to be borne by lessor.
Which alternative is to be selected by Tahmina? **Solution :** *Page No-491; Problem No- 24.*

16. There are two firms X and Y, which are identical in all respects except that the firm X has 10% debentures of Tk. 6,00,000. The EBIT of both firms are Tk. 1,20,000. The cost of capital of firm X and Y are 12% and 11% respectively. Determining the total market value (V) and overall cost of capital of the two firms, opines which one is less cost and more value.
Mr. Shdi an investor, holds 10% of the outstanding shares of the X firm. Should he prefer switching from X firm to Y firm. **Solution :** *Page No-356; Problem No- 30.*

17. (a) Explain the decision tree approach. *[Ans : Page No 266; Ques. No 2.41]*
(b) Discuss the types of agency problems. *[Ans : Page No 245; Ques. No 1.24]*

National University

[BBA Hon's 3rd Year; Exam-2024 (Held on-21/01/2026)]
(Department of Finance and banking)
Subject Code : 232415
Subject Name : Financial Management (In English)
Time : 4 hours; **Full marks :** 80
[**N.B.** Different parts of each question must be written consecutively.]

Part-A

1. Answer any **ten** questions : $1 \times 10 = 10$

(a) What is corporate governance?
Ans : Corporate governance is the system, in which a corporation is governed and deals with the various interests of its consumers, shareholders, employees and society at large.

(b) What is CSR?
Ans : Corporate social responsibility is a business outlook that acknowledges a firms responsibilities to its stakeholders and natural environment

(c) What is decision tree?
Ans : A decision tree is a graphic presentation of the relationship of the present decision with future events and decisions.

(d) What is business risk?
Ans : Business risk refers to the risk associated with the firm's operations.

(e) What is simulation?
Ans : Simulation is a statistics based behavioral approach that applies predetermined probability distributions and random numbers to estimate risky outcomes.

(f) What is arbitrage?
Ans : Arbitrage means finding two assets that are essentially the same, buying the cheaper and selling the more expensive.

(g) What is dividend policy
Ans : The complete guideline regarding the payment of dividend and retention of profit can be termed as the dividend policy.

(h) What is stock split?
Ans : When a company increases its number of equity shares by reducing the face value of its share than it is known as stock split.

(i) Define standby underwriting?
Ans : Standby underwriting is a type of assurance given by the underwriters to the issuing company regarding the full subscription of the rights offering.

(j) What is prospectus of a company?
Ans : A prospectus summarizes information about a new security issue and the issuing company.

(k) What is operating lease?

Ans : Operating lease is short-term lease used to finance asset and is not fully amortized over the life of the asset.

(l) What do you mean by cash conversion cycle?

Ans : The flow of cash from purchase of inventory to production, from production to sell of goods and collection of receivables and again purchase of raw material can be termed as the cash conversion cycle.

Part-B

[Answer any **five** questions.] Marks : 4 × 5 = 20

2. Discuss the superiority of wealth maximization.

[Ans : [redacted] (৪র্থ খণ্ড) বইয়ের Page No. 240 Ques. No. 1.10]

3. A project is expected to the following cash inflows over 3 years :

Year	Expected cash flow (Tk.)	Certainty equivalent co-efficient
1	40,000	0.9
2	50,000	0.8
3	60,000	0.7

The risk-free discount rate is 10% and the initial investment is Tk. 1,00,000.

Required :

(a) Calculate the using CE approach present value of the project.

(b) Should the project be accepted? **Solution** *Page No- 600; Question No-03.*

4. ABC company needs Tk. 10,00,000 to finance its expansion. It is considering the following two capital structure options :

Source	Option-A : Debt-equity (40 : 60)	Option-B : Dept-equity (60 : 40)
Cost of debt	10%	12%
Cost of equity	15%	18%
Tax rate	30%	30%

Required :

(a) Calculate the weighted average cost of capital (WACC) for both options.

(b) Suggest which option is better based on WACC. **Solution** *Page No- 600; Question No-04.*

5. Acme company's current share price is Tk. 50. The company announces a 1 : 4 right issue at a price of Tk. 40. For every 4 existing shares, shareholders can buy 1 additional share at Tk. 40.

Required :

(a) Calculate the Theoretical Ex-Rights Price (TERP).

(b) Calculate the value of right.

(c) Should a shareholder exercise the right? **Solution** *Page No- 601; Question No-05.*

6. What are the differences between primary market and secondary market? *[Ans : Page No 602; Ques. No- 06]*

7. Sunlight Co. has an EPS of Tk. 10 and its interest rate is 16%. The firm has a policy of paying 60% of earnings as dividend. If the required rate of return is 12%, determine the price of the share under Walter model.

Solution *Page No- 602; Question No-07.*

8. BBC company takes a machine on a 5 year lease. The annual lease payment is Tk. 50,000 payable at the end of each year. The interest rate is 10% per annum. Calculate the present value of lease payments (PV of an annuity) using the present value factor table (PV factor for 10%, 5 years = 3.791).

Solution *Page No- 603; Question No-08.*

9. Discuss the importance of working capital in a firm. *[Ans : Page No 498; Ques. No 7.07]*

Part-C

[Answer any **five** questions.] Marks : 10 × 5 = 50

10. (a) Discuss the three major decisions of a corporation in financial management. *[Ans : Page No 243; Ques. No 1.19]*

(b) Describe the ways to solve the agency conflicts. *[Ans : Page No 244; Ques. No 1.23]*

11. Recently a firm named Meesho Ltd evaluating an investment proposal, requiring an outlay of Tk. 2,00,000 for 2 years economic life. It has no salvage value. The estimated cash inflows after tax (CFAT) are as follows with their associated probabilities for year 1 and year 2 respectively :

Cash inflows after tax (CFAT) and Probability

Year 1					
Tk. 80,000	0.30	Tk. 1,10,000	0.40	Tk. 1,50,000	0.30

Year 2					
Tk. 40,000	0.20	Tk. 1,30,000	0.30	Tk. 1,60,000	0.10
Tk. 1,00,000	0.60	Tk. 1,50,000	0.40	Tk. 2,00,000	0.80
Tk. 1,50,000	0.20	Tk. 1,60,000	0.30	Tk. 2,00,000	0.10

Should the investment proposal be accepted? (Assume discount rate 10%)

Solution *Page No- 603; Question No-11.*

12. (a) Write down the process of initial public offering. *[Ans : Page No 426; Ques. No 5.17]*
    (b) Discuss the functions of BSEC. *[Ans : Page No 604; Ques. No 12 (b)]*

13. From the following selected data, determine the value of firms, PCL and KPL, belonging to the homogeneous risk class, under the net income (NI) approach :

Firm	Levered firm PCL	Unleveled firm KPL
EBIT	Tk. 2,25,000	Tk. 2,50,000
Interest @ 15%	75,000	Nill
Cost of equity capital	20%	20%

Which of the two firms has an optimum capital structure under the NI approach?

Solution *Page No- 605; Question No-13.*

14. KART BD Ltd. has a cost of equity of 12%, the current market value of the firm (V) is Tk. 25,00,000 (@ Tk. 25 per share). Assume values for I (new investment), E (earnings) and D (dividends) at the end of the year as I = Tk. 7,00,000, E = Tk. 3,00,000 and D = Tk. 2 per share. Show that under MM assumptions the payment of dividend does not affect the value of the firm. **Solution :** *Page No-418; Problem No- 37.*

15. Alfa, a production oriented company, needs to install an equipment of Tk. 7,50,000. The company has two alternatives of financing :
    (a) To take lease from 'MIDAS' for 6 years with an annual lease payment of Tk. 1,85,000 to be paid at the end of each year.
    (b) To take loan from IFIC Bank Ltd at 14% interest payment payable annually at the end of each of the 6 years in equal installment. The equipment will be depreciated on straight basis. The corporate tax rate is 40%.

    Which offer should the company accept? **Solution** *Page No- 605; Question No-15.*

16. A manufacturing company has an expected use of materials 5,000 units of its certain production demand the next financial year. The cost of processing an order is Tk. 25, purchase price of raw materials is Tk. 5 per unit and carrying cost is 25% of its cost. Lead-time of an order is 5 days and the company would like to supply of 2 days uses. You are required to calculate :
    (a) EOQ
    (b) Re-order point
    (c) Number of order
    (d) Safety stock
    (e) Average daily uses. **Solution** *Page No- 607; Question No-16.*

17. (a) What do you mean by bond refunding? *[Ans : Page No 433; Ques. No 5.41]*
    (b) A election is going to be held to fill two seats on the board of directors of XYZ Company Ltd. The company has total 1,00,000 shares outstanding. Mr. Salman who owns 20,000 shares wants to elect himself a director on the board. Under cumulative voting system, how many additional shares should be purchased by him to elect himself as a director? **Solution** *Page No- 608; Question No-17 (b).*

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